

This volume examines how social media is evolving as an industry—it is an extension of the traditional media industries, yet it is distinctly different in its nature and ability to build relationships among users. Examining social media in both descriptive and analytical ways, the chapters included herein present an overview of the social media industries, considering the history, development, and theoretical orientations used to understand social media.

Topics covered are:

- Business models found among the social media industries and social media as a form of marketing.
- Social media as a form of entertainment content, both in terms of digital content, and as a tool in the production of news.
- Discussions of ethics and privacy as applied to social media.
- An examination of audience uses of social media considering differences among Latinos, African Americans, Asian Americans, and people over the age of 35.

Overall, *The Social Media Industries* provides a timely and innovative look at the business aspects of social media, and has much to offer scholars, researchers, and students in media and communication, as well as media practitioners.

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 **Routledge**
Taylor & Francis Group
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Routledge titles are available as eBook editions in a range of digital formats

ISBN 978-0-415-52319-6



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The Social Media Industries

Edited by Alan B. Albarran

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The Social Media Industries

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THE SOCIAL MEDIA INDUSTRIES

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 **Routledge**
Taylor & Francis Group
NEW YORK AND LONDON

56 ALB1 1

First published 2013
by Routledge
711 Third Avenue, New York, NY 10017

Simultaneously published in the UK
by Routledge
2 Park Square, Milton Park, Abingdon, Oxon OX14 4RN

Routledge is an imprint of the Taylor & Francis Group, an informa business

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Library of Congress Cataloging-in-Publication Data

The social media industries / edited by Alan B. Albarran.

p. cm. — (Media management and economics series)

Includes bibliographical references and index.

1. Internet industry. 2. Internet marketing—Social aspects. 3. Social media—Economic aspects. 4. Mass media—Economic aspects. 5. Electronic commerce—Social aspects. I. Albarran, Alan B.

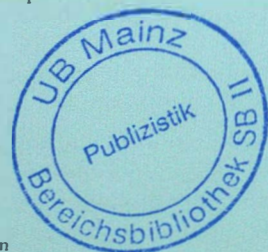
HD9696.8.A2S63 2012

384'.33—dc23

2012033109

ISBN: 978-0-415-52318-9 (hbk)
ISBN: 978-0-415-52319-6 (pbk)
ISBN: 978-0-203-12105-4 (ebk)

Typeset in Bembo
by Keystroke, Station Road, Codsall, Wolverhampton



13/182 PUB



Printed and bound in the United States of America
by Edwards Brothers, Inc.

*This book is dedicated to our grandson,
Nathaniel Dean Lloyd
"Nate"*

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INTRODUCTION

Alan B. Albarran

This chapter, as well as this volume, centers on the complicated and fascinating topic of social media examined from an industry perspective. There is a growing body of books and scholarly literature on social media. On the practical side, many of the early works discuss how to use social media in areas such as marketing and public relations, ideally to help a business reach existing and new customers (e.g., Li & Bernoff, 2008). On the scholarly side, early research on social media has concentrated on areas such as uses and gratifications, psychological impact, and communication patterns and preferences (e.g., Ellison, Steinfield, & Lampe, 2007; Hargittai, 2007; Pempek, Yermolayeva, & Calvert, 2009).

Missing from the literature is scholarship addressing social media from what can be called an industry perspective. That is the goal of this volume and the contributors whose work is published here—to look at social media using a different set of lens. Our goal is to consider social media as an evolving and unique communications-based industry, one that is dynamic and growing, and one that has generated a number of interesting markets of activity. To begin this approach, we should first have clear definitions as to the topic at hand in order to guide our exploration in examining social media from an industry perspective.

Key Definitions

boyd and Ellison offer a widely-cited definition of *social networking sites*. The authors identify social network sites (SNS) as:

web-based services that allow individuals to (1) construct a public or semi-public profile within a bounded system, (2) articulate a list of other users with whom they share a connection, and (3) view and traverse their list of connections and those made by others within the system.

(boyd & Ellison, 2008, p. 211)

This early definition was helpful in understanding the role of social networks, although the emphasis was on the construction of a public profile. There is, of

course, a differentiation that now exists between the broad content-sharing applications such as YouTube, Flickr, Reddit, and Pinterest, compared to relationship-building applications such as Facebook, Twitter, LinkedIn and Google+.

Utilizing the boyd and Ellison (2008) definition for social networking sites, how then do we define social media? A search on the Internet and trade literature will generate hundreds of definitions for social media, offered by bloggers, industry analysts, and various types of wikis. For the purposes of this volume, *social media* represents the *technologies* or *applications* that people use in developing and maintaining their social networking sites. This involves the posting of multimedia information (e.g., text, images, audio, video), location-based services (e.g., Foursquare), gaming (e.g. Farmville, Mafia Wars), and many aspects explored throughout this volume.

This book is about the social media industries. An *industry* is traditionally defined in a business and economic sense as a group of sellers offering related products and services to buyers in different markets (Albarran, 2002). In looking at social media from an industry perspective, these “sellers” are represented by the individual companies such as Facebook, Twitter, LinkedIn and YouTube, while the “buyers” are a combination of consumers who create their sites with social media technologies and advertisers, who purchase access to these audiences with the hopes of selling their own products and services. While most people may think of social media as a 21st-Century phenomenon, the roots of social media actually are deeper. In Chapter 2, Goff details the history of the social media industries.

Buyers and sellers interact with one another to exchange goods and services in a *market*. Traditionally, markets determine the price for products, and are based on supply and demand characteristics of the market. Markets have evolved over time across the communication industries. While markets used to involve physical transactions, today many markets, including the social media industries, function via the Internet and digital platforms (Albarran, 2010b).

The traditional hybrid market structure—offering the same product (social media or social networking sites or platforms) to audiences and advertisers—is known as a dual product market, and is found in many of the “traditional” media industries, such as newspapers, radio and television broadcasting, and magazines (Albarran, 2010a; Picard, 1989).

The social media industries follows this hybrid approach, with businesses trying to reach consumers (e.g., Facebook as a platform attracting new users), and businesses transacting with other businesses (e.g. advertisers like Dell buying online advertising from Facebook and other sites). Social media also adds another dimension involving consumers directly able to reach other consumers. These markets are further detailed in Table 1.1.

The three markets in Table 1.1 all have the ability to generate revenue, but advertising is the dominant business model. One of the biggest challenges for the social media is how to monetize their efforts, the topic of Chapter 4, by Cha. This

TABLE 1.1 Social media tri-product market

<i>Market</i>	<i>Types of products</i>	<i>Main business model</i>
Business-to-Business (B2B)	Advertising in different formats/platforms	Built on audience impressions
Business-to-Consumer (B2C)	Attract users/followers	Premium services, add-ons, subscriptions, other payments
Consumer-to-Consumer (C2C)	Various types of products and services	Direct transactions among consumers

is particularly true for large sites like Facebook and Google's YouTube, which both have millions of users, but still rely on advertising as the primary form of economic support.

Having defined a few key terms, we can now turn our attention to an analysis of the social media industries from a business and economic perspective. One helpful tool is the well-established industrial organization (IO) model, explicated by Bain (1956) and expanded upon by Scherer and Ross (1990) and others. Adding to its utility is the fact that the IO model has been applied extensively to the media industries by other scholars (e.g. Albarran, 2010b; Chan-Olmsted, 2005; Gomery, 1989; Wirth & Block, 1995).

The IO model is simple to understand in that it follows a tri-partite formula for analyzing any group of firms or industry by considering the structure, conduct, and performance characteristics of the subjects. As such, the IO model is also referred to as the SCP model or simply the SCP model in the literature. By understanding the underlying economic structure of an industry, one can then anticipate the likely conduct of the firms involved which, in turn, influence the performance of the industry. We will utilize the IO/SCP model in the next three sections as we apply this framework to the social media industries.

Structure of the Social Media Industries

In assessing the structure of an industry, scholars utilizing the IO model have traditionally sought data to address five different variables which together provide a clear picture of the structure of the market. These five variables are listed below:

- 1 The number of sellers, useful in determining the level of concentration that exists in a market/industry.
- 2 How products are differentiated from one another.
- 3 The barriers to entry for new firms wishing to enter a market.
- 4 The cost structures that exist among the firms in a market.
- 5 Vertical and horizontal integration among firms in the market.

Number of Sellers

The number of sellers in a market typically tells us a great deal about the level of concentration that exists in a market. From neoclassical economics we know that a single seller is a monopolist, and sets prices in a market, while at the other end of a continuum is perfect competition, where an unlimited number of sellers provide a similar product, and price is determined by the market. In the middle are the theorized oligopoly (3–10 sellers each offering homogeneous products) and monopolistic competition (multiple sellers offering slightly differentiated products) market structures (Albarran, 2010a).

In applying this framework to the social media industries, we immediately find a challenge in that the social media industries—at least in its nascent stage in the 21st Century—consists of multiple markets that are differentiated by their individual “products” or what they offer to audiences and advertisers (in a dual product market). For example, we could begin to classify the broader social media industries using several sub-markets of activity:

- *Social networking.* Popular sites such as Facebook, Myspace, LiveJournal, and Tagged allow users to create personal profiles to share with their own network. Businesses and non-profit organizations also create profiles on these sites.
- *Professional networking sites.* These would include LinkedIn and Google+ which target the business and professional community. Slideshare is a related site which allows for sharing presentations.
- *Community/microblogging.* Twitter is the killer application in this arena. Kaboodle and Fark are also popular, while Pinterest has been called “Twitter with pictures.”
- *Social tagging.* Tagging allows users a system of bookmarks and tags to help organize content. Golder and Huberman (2003, p. 198) define social tagging as “the process by which many users add metadata in the form of keywords to shared content.” StumbleUpon, Del.icio.us, and Technorati are among the well-known sites in this sector.
- *Image/photo sites.* Pinterest has emerged as a powerful new site where users “pin” photos and other content to different “boards” organized by themes (e.g. cooking, scrapbooking, etc.). Flickr was among the early leaders in the photo sharing sub-market. Instagram, another competitor, was purchased by Facebook in 2012.
- *Video sites.* These would include YouTube, Vimeo, and Socialcam.
- *Social news.* Popular sites in this area include Digg, Reddit, Newsvine, and Yahoo Buzz.
- *Gaming sites.* Zynga, the maker of the popular Farmville, Mafia Wars, and Words with Friends is the market leader in this sector. Other firms involved in gaming include Pogo, Yahoo! Games, Big Fish, and PopCap.

- *Consumer shopping.* Sites like Groupon, Living Social, Dealster, and Social Buy offering daily digital coupons or special offers.
- *Review sites.* Designed primarily for local businesses, sites like Yelp, Citysearch, and Epinions offer customer reviews for others to share.
- *Wikis.* Wikipedia is the best known, but there are many other wikis on the Internet that allow for the sharing and editing of information/content posted online. Investopedia is a popular site for personal finance and investing. Other popular wikis are Wikitravel, Wikia, and ShopWiki.
- *Social publishing.* Scribd is a popular publishing site.
- *Location based services (LBS).* Foursquare was the first to capture wide attention, and is often used in combination with review and shopping sites.

Given the large number of sub-markets (and this listing is by no means exhaustive), we can conclude that in terms of market structure, the various sub-markets within the social media industries are for the most part competitive in that there are multiple firms involved in every sub-market, although the sizes of the firms differ greatly in terms of their market share, as measured just by the number of users/subscribers/accounts in force.

Facebook is the classic example; reaching over 900 million people in 2012, Facebook is easily the largest social networking site in the world. Other SNS like Myspace, LiveJournal, and Orkut pale in comparison to visitors to Facebook. Most of these sub-markets reveal a hybrid-type structure, with an oligopoly found on one end evidenced by a small number of firms leading the sector, and a set of smaller firms vying for the remaining market share. However, if we have learned anything about the emerging social media industries to date it is that trends can change almost overnight, as evidenced by the rapid growth of Pinterest and Groupon, to offer just two examples.

Another distinction we note about the social media industries is that the term “price” only applies at this initial examination of the market for advertisers. The majority of the social media sites listed previously are available for free to consumers, so price is not a consideration. The price to advertise—largely based in social media on audience impressions—varies based on usage and the number of consumers who have formed profiles or accounts, whatever the case. Facebook, LinkedIn, and YouTube can charge more for advertising than comparable sites based on the sheer scale of available audience advertisers have the potential to reach. In economic terms, their available supply of potential audience increases the demand by advertisers.

Product Differentiation

Product differentiation refers to how products differ among sellers. Social media firms differ in terms of the types of content offered on their sites, but what really makes social media unique in comparison to other forms of media is that it is largely

consumer-driven. Users review and post content that is of interest to them and members of their networks. This enables social media to create market trends and awareness of news and other events quickly. We often hear terms like “buzz” and “viral” used to describe how content becomes widespread via social media. This is particularly useful to those engaged in marketing, advertising, and public relations, as detailed by Miller in Chapter 5 in this volume. Further, social media has become just as critical a tool in political communication and elections in promoting candidates and their positions to voters.

The social media industries are known for creating platforms that appeal to users in different ways. Early in their development, the social media industries are not known for creating specific content products that consumers access as with traditional media like broadcasting and print. Yet, we have seen traditional media embrace social media, allowing users to “share” content by reposting, linking, tweeting, and other tools.

Barriers to Entry

Barriers to entry are obstacles new sellers must overcome in order to enter a market. Often barriers to entry consist of capital requirements (funding) and/or regulatory hurdles. The social media industries have very low barriers to entry in regards to both of these areas. While it does cost money to develop websites and mobile applications for a new social media startup, these are low in comparison to other forms of media. No significant regulatory barriers exist as well (at least in the United States), as no permits or licenses are required from the government. Firms must adhere to existing laws and regulations involving any business activity, but there are no unique requirements for social media firms.

The lack of significant barriers to entry makes it possible for even the smallest size entity to set up social media accounts/profiles quickly and easily. This is especially valuable for new startups, as social media provides opportunities for marketing and branding without incurring significant costs. It is one reason why there are so many social media platforms in existence early in the 21st Century. While it is easy to enter the market, a new startup must still achieve market share and interest among consumers in order to survive.

Cost Structures

Traditionally, cost structures refer to the combination of fixed and variable costs found in an industry, and how those costs differ among firms. With low capital requirements for starting social media firms, cost structures are lower than those found in traditional media, which tend to be quite high. Social media firms have fixed and variable costs. The fixed costs include their headquarters for operations, servers and other hardware, utilities, etc. As a social media company expands, it typically means additional variable costs including salaries for engineers,

programmers, marketing personnel, and expenses related to branding and marketing and other areas.

Vertical and Horizontal Integration

Vertical and horizontal integration also help in understanding the level of concentration in an industry. In vertical integration, one considers how the company controls different aspects of production and distribution within a market, while horizontal consideration looks at activities across markets.

In analyzing the social media industries, there are some examples of vertical integration found among some of the firms. Google's YouTube is part of an integrated set of useful sites that Google markets as a group. Facebook has made several acquisitions, including the 2012 purchase of Instagram to add a photo-sharing tool to its social networking site. At this early stage, there is not a widespread practice of vertical integration across the social media industries.

Regarding horizontal integration, there are limited examples. Facebook started as a site only for college students but has since expanded both domestically and globally. LinkedIn has done a good job in creating markets for both individuals and businesses, and offers basic services and premium services for subscriptions. Zynga has successfully introduced several popular games appealing to different demographic groups. News Corporation, owner of the Fox networks, acquired Myspace to add social media to its holdings across media industries only to sell the entity years later for a huge loss.

While there are limited examples of vertical and horizontal integration in the social media industries at this early stage, future growth and development should trigger more action as firms begin to consolidate to achieve scale and economic efficiencies. We can also expect mergers and acquisitions to occur among social media firms, where some will be buyers and others sellers.

Market Conduct in the Social Media Industries

In analyzing market conduct, we consider the various behaviors, practices, and policies exhibited by the sellers and buyers in a market. We try to understand how these behaviors may be coordinated among the firms in a particular type of structure. Traditionally, market conduct takes in to account the following variables:

- pricing policies;
- product strategy;
- research and innovation;
- plant or capital investment;
- legal tactics.

Conduct can be difficult to assess, especially with companies that are privately held or relatively new startups. As seen in the bulleted list, many of these items would be treated as proprietary in nature; not many firms, for example, are likely to detail their strategy and research/development efforts until ready to launch. Therefore, some of the analysis in this section will be more conjectural in nature.

Pricing Policies

Pricing policies among social media firms appear limited to two primary areas. The first being the market for different types of advertising; the other would be subscription-based pricing, for those firms offering some type of premium service. Prices for advertising follow demand tendencies, in that higher demand will allow social media firms to charge a higher price for advertising; lower prices result when demand is weak.

In terms of advertising, some social media sites offer premium services on a subscription-based plan to consumers or businesses. One of the more successful has been LinkedIn, which offers premium tiers for a monthly fee that enables expanded features and unlimited search capabilities. Going forward, we can expect to see more social media firms offer different types of subscription plans that enable a higher level of functionality and features.

Product Strategy

Strategy can be considered from two main perspectives. One way is the strategy implemented by the actual social media firm (e.g., Facebook, LinkedIn, etc.); another by how firms use social media to enhance their branding and marketing. In keeping with the overall theme of this chapter, our focus is on the former, not the latter.

In the rapidly evolving social media industries strategy seems to change overnight. Strategy involves many considerations for social media firms, and like any business operating for profit, is trying to position their products and services to gain a competitive position in the market. In the social media industries, we have observed that the first-mover advantage strategy is not always successful. While Myspace was an early leader in social networking, Facebook was able to overtake Myspace in a relatively short time span to become the largest SNS in the world, forcing Myspace to redefine itself on more than one occasion to remain competitive.

Social media strategy is also tied to the development of mobile media. Social media's popularity in all of its various markets has been enabled by the growth of smart phones and tablets, and most sites/applications are designed for use in a mobile environment. Twitter, Groupon, Foursquare, and other sites are perfect for a mobile environment, and add to their utility. Social media firms encourage users to "like" and "check in" when visiting retail establishments and restaurants to take advantage of digital coupons and other offers for consumers.

Strategy considerations also take into account opportunities to grow market share among consumers. In this sense, we continue to see an expansion of social media platforms targeting every imaginable hobby, interest, and vocation. Numerous sites offer multiple language options to expand global reach. Strategy is an ongoing consideration for social media firms, and companies must move quickly to follow new patterns and trends.

Research and Innovation

Research and innovation are critical in any technology-driven industry. In the social media industries, internal research by firms has led to many improvements in developing social media applications and sites. At its core, research and innovation efforts are designed to help firms increase their market potential.

Companies are understandably secretive about their internal research and development efforts. Most companies will not detail new projects under consideration, nor offer any specifics as to how much funding and support is spent each year on research and innovation efforts.

Plant/Capital Investment

While social media sites and applications are accessed through the Internet, the firms still have a physical location that houses employees, programmers, software engineers and other professions. Social media firms also must invest a lot of resources in maintaining a base of servers and backup centers, along with the latest in security tools to limit hacking and other attacks.

Several of the larger social media firms have moved to raise capital through both private equity firms by offering a minority stake in a company, and for a select few, engaging in an initial public offering (IPO) to sell stock to the public. LinkedIn was one of the largest firms to launch an IPO in 2011, followed by several other firms including Groupon, Zynga, and Facebook. IPOs have the potential to raise billions in new capital for growth and expansion, but force companies to operate to meet the demands of shareholders. Going forward, we can expect more social media firms to enter the IPO market.

Legal Tactics

Legal tactics refers to the complete range of legal actions a firm may use in a particular market, and the social media industries are no exception. Many people were surprised that the 2010 hit movie *The Social Network* about the development of Facebook concentrated on the legal battles associated with who came up with the original idea for the SNS. A quick search with a social media firm name and the word "lawsuit" will detail what litigation is currently in focus.

Litigation can cover many different topics, but there are probably more lawsuits related to intellectual property than any other area. Intellectual property issues have

taken on new meaning in the digital age, and companies may be forced into litigation to protect their IP property, especially ideas and creations. Concerns over patents and trademarks are other areas that are ripe for litigation among social media firms.

Market Performance in the Social Media Industries

In analyzing market performance, we try to determine if the firms are successful in meeting their goals based on different criteria. Market performance can also be considered from a societal perspective by regulators on the ability of the market as a whole to promote competition. Market performance considers three variables:

- efficiency;
- equity;
- progress.

Efficiency

Efficiency as a performance variable is understood as the efforts of a company to maximize wealth. Economists examine efficiency from two perspectives: (1) how efficient the firm is at using its resources to maximize output; and (2) how efficient the firm is in allocating resources to function at maximum capacity. As mentioned previously, social media firms operate across digital platforms that have low cost structures, and the actual “products” produced in the form of applications (which are intangible) have a near zero marginal cost basis rather than a traditional maker of a product that entails a “per unit” cost. Thus, there is a high degree of technical efficiency.

In terms of allocative efficiency, because the social media industries operate in a world where fixed and variable costs are much lower than other types of media industries, the firms are in a stronger position to allocate resources easily. Once a site or application is developed, the companies must provide updates and fixes on a regular basis, which requires additional programming and testing. As new formats for smart phones and tablets have been introduced, developers had to create new versions to work across different brands.

Regarding efficiency, the social media firms operate with a great deal of efficiency which is helpful in maximizing performance. But one must understand that sites and applications can take months and years of development and refinement; this means many startups operate at a loss for some time before realizing profits. At this early examination of the social media industries, only a handful of firms (e.g., LinkedIn, Facebook, Twitter) are profitable, yet the long-term outlook is for greater profitability, provided monetization efforts are realized in the coming years.

Equity

In examining the equity in a market, one considers how the wealth is distributed among both producers and consumers. Ideally, a market economy should provide a good distribution of equity so no single firm realizes a dominant position. However, history tells us that both monopolistic and oligopoly markets are more likely to have situations where equity is concentrated among a small set of firms.

This is of course the situation in the social media firms. The leading producers are in very strong positions across many sub-markets. That is not to say that competitive positions will not change over time; simply that this first look at social media from an industry perspective finds that many of the well-known sites (Facebook, LinkedIn, YouTube, Twitter, Wikipedia, Groupon, etc.) do “capture” both the bulk of the revenue via advertising and have the greatest concentration of users. However, this inequality in the market is not something that has yet captured the interest or attention of policymakers. Concentration in the social media industries is not a pressing concern when compared to issues like the economy, health care, and terrorism. Further, it is unlikely that policymakers would intervene in the social media industries since the industry is perceived by many as simply providing entertainment and information tools for consumers.

It is from the consumer side where the picture is much more competitive and illustrates a better equity distribution among firms. Most social media applications and sites are free to the user, so there is no investment other than time to access a site. Consumers sample different social media tools, and gravitate towards those that provide the most to the user in terms of utility and value. Later chapters in this volume look at the consumer demand for social media by considering use among older adults (Valentine, Chapter 10), Latinos (Chapter 11) and African and Asian Americans (Chapter 12).

Progress

Progress is normally thought of as the ability of the firms in a market to collectively increase output over time. Such action would indicate growth in a market, and if firms are efficient in allocating resources and there is a good distribution of equity, progress should follow naturally.

Output among social media firms must be measured differently; at best we can consider trends over time like the number of subscribers for a particular site or application, the time people spend with the actual sites, the growth of advertising or other digital revenues among the firms, and the global reach of the site or application. While these are simplistic, they offer two data points for both the consumer side and the producer side to gauge trends in progress.

Analysis of the Findings

By following the industrial organization model of an industry, and breaking it down into its specific structure-conduct-performance criteria, we now have a comprehensive way to look at social media as a functioning set of industries. These findings are summarized in Table 1.2 by presenting an overall analysis of the emerging social media industries. As discussed in this chapter, the social media industries represent a collection of different markets of activity. Rather than look at each sub-market, this analysis considers the social media industries as a whole.

TABLE 1.2 Review of the social media industries using the IO/SCP model

<i>IO/SCP variable</i>	<i>Preliminary findings</i>
<i>Market structure</i>	
Number of sellers	Organized around different sub-markets; most offer a dual product to consumers/advertisers
Product differentiation	Products consist of sites/applications and their differences in appeal to users
Barriers to entry	No significant capital or regulatory barriers identified
Cost structures	Generally lower than other forms of media
Vertical/horizontal integration	Limited to larger firms; evidence of horizontal integration exists in a few sectors
<i>Market conduct</i>	
Pricing policies	Limited to advertising and subscription products
Product strategy	Heavily tied to mobile development; firms must respond quickly to market changes
Research and innovation	Proprietary in nature; designed to improve market share/revenues
Plant or capital investment	Capital requirements less than many other industries; larger firms pursuing IPO status
Legal tactics	Usually concerned with protection of intellectual property, hacking and privacy issues
<i>Market performance</i>	
Efficiency	Firms operating with high degree of efficiency but many still yet to be profitable
Equity	More competitive in regards to consumer demand; some inequality exists among the larger firms
Progress	Most firms showing growth in terms of both consumer demand and revenue/reach metrics; still very early in development

The summary analysis provided in Table 1.2 gives an overall picture of the emerging social media industries from an industrial organization perspective. This is presented with caution, in that social media is a rapidly evolving industry, and observations made at this early point in time may not hold for the long haul. Still, we can draw several insights from this analysis in comparison to other communication and media industries:

- 1 In terms of market structure, the social media industries are evolving along the lines of a hybrid structure, with the leaders in the sub-markets forming an oligopoly model and other smaller competitors striving for market share in a monopolistic competitive model. Most sub-markets follow a dual product market in that their services are offered to both consumers and advertisers.
- 2 Social media differs in that it offers lower barriers to entry and cost structures than traditional types of media and communication industries. The cost structures are also significantly lower in the social media industries, another clear advantage for startups and entrepreneurs.
- 3 Social media industries are heavily dependent on advertising, and must work to develop new revenue streams. Subscriptions and premium services have been introduced by some players, but the practice is not widespread. The question most asked among industry analysts is how to monetize the large consumer base. From an industry perspective, this is one of social media's greatest challenges.
- 4 Social media is naturally tied to mobile media, and as the penetration of smart phones and tablets continues to rise, more users will access social media away from home. This raises challenges for developers in creating applications and sites that function well in a mobile environment.
- 5 The social media industries are efficient in allocating resources in this early stage of development, but are a long way from reaching their full economic potential. We can expect to see social media firms continue to struggle with profitability as they seek to identify new revenue streams and methods to increase market share.
- 6 A huge advantage for the nascent social media industries is the social impact they have established in such a short period of time. Social media has become a new communications tool for millions of consumers; every business has embraced social media along with politics, education, and every other field. Social media has in a short amount of time developed a great deal of social capital. Firms involved in social media must respect this important relationship the industries have with their user base.
- 7 Privacy is a huge issue with social media, and the inability to address continuing privacy issues and concerns could limit the long-term performance of the market. Data mining of users and tracking their online sessions is a common practice among social media firms; how this data is ultimately utilized is a societal concern, and could lead to regulatory action in some countries.

- 8 Consumer tastes and preferences will continue to guide the development of the social media industries. While other businesses and industries utilize social media, it is the demand driven by consumers that has enabled the rapid growth to occur. The social media industries will need ongoing and varied research to maintain awareness of audience trends, and be proactive in continuing to meet the needs of consumers.

Conclusion

The social media industries have had a remarkable impact in a very short period of existence. Social media is innovative, interesting, and exciting to observe as a new yet disruptive communications industry (Downes, 2009). This initial analysis of the social media industries reveals a number of unique characteristics, but also some similarities to the traditional media industries.

Certainly there will be more evolution and change across social media as the industries move through their life cycle. Continuing to utilize a framework like the industrial organization model can help identify how the industries are evolving over time. Scholars will need to continue to monitor the development of the social media industries, and document how the structure, conduct and performance of the various sub-markets expand and contract.

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2

A HISTORY OF THE SOCIAL MEDIA INDUSTRIES

David H. Goff

Introduction

In summarizing the key 21st-Century developments in the media industries, McKelvie and Picard (2008) observed, "The media space was previously controlled by media firms; however, it is today increasingly controlled by consumers. It is no longer a supply market but has become a demand market" (p. 1). Not only is abundant media content now consumed wherever and whenever the consumer desires, consumers increasingly generate media content as they utilize the fastest growing segment of online media, social media. This chapter reviews the history and development of social media and their role in the changing media landscape. It covers the factors that led to the emergence of social media and elaborates the distinct characteristics of this media form. Following an overview of the factors leading to the development of social media websites the chapter examines the development of blogs and major social media websites: Twitter, Wikipedia, YouTube, MySpace, LinkedIn, and the largest social media firm, Facebook. Subsequent chapters extend the analysis of social media firms by addressing their business models and the significant roles that they play in news content and in marketing communication.

The Evolution of Media Forms

In the long history of human communication the era of mass media that began with the early 19th-Century development of the steam-powered rotary press has been relatively brief, and some believe that with the early 21st-Century proliferation of social media, the era is ending (The people formerly known as the audience, 2011). The powered press led to a newspaper industry that shaped the parameters of mass media industries: one-way communication from a limited number of specialized organizations to the general public through a unique channel. The addition of the electronic media industries of radio and television in the 20th Century extended this paradigm. Globally, media industries evolved under varying degrees of government control. Both public/government and

private (individual and corporate) ownership models developed and media operated both commercially and non-commercially. The business model relied upon the creation of a supply of content by media firms for audience consumption and subsidized through audience subscriptions and/or advertising. Of these revenue streams, advertising generally contributed the largest share as marketers took advantage of the media's ability to control the delivery of messages to large audiences.

In the final decades of the 20th Century, media industries and their audiences were undergoing significant changes resulting from the combined forces of economics, politics, globalization, and technology. The historic mass media of the Industrial Age were increasingly characterized as "old media," or "legacy media" in contrast to the "new media" forms enabled by the shift from analog to digital technologies that led to the convergence of media, telecommunications, and computing industries. The epicenter of these developments has been the Internet and since the mid-1990s the World Wide Web. Today the Internet is accessed from an expanding list of fixed and mobile devices by over two billion people. By November 2011, the percentage of the world's online population stood at 34.7 (ITU, 2011). The Internet is a major component of an expanding mix of media that together serve large and small audiences that are increasingly diverse, fragmented, and active. And as noted above, social media are the fastest growing segment of online media and their influence is profound.

Social Media: Enabling Technologies and Characteristics

Like the print and electronic media that preceded them, social media are communication channels. More precisely,

Social media is a set of technologies and channels targeted at forming and enabling a potentially massive community of participants to productively collaborate. IT tools to support collaboration have existed for decades. But social media technologies, such as social networking, wikis and blogs, enable collaboration on a much grander scale and support tapping the power of the collective in ways previously unachievable.

(Bradley, 2010, para. 2)

Social media derive from a business model employed to gain advantage from user-generated content, content that is created by and with other Web users. They utilize free and easy-to-use technologies and approaches to the Internet often labeled "Web 2.0." Tim O'Reilly, of California-based O'Reilly Media, is widely credited with the term and describes the concept as "the network as platform, spanning all connected devices" and "delivering software as a continually-updated service that gets better the more people use it, . . . through an 'architecture of participation,'" (2007, p. 17). Initially, Adobe Flash provided interactivity and

enabled users to add media content to websites. RSS (Really Simple Syndication) facilitated receiving and sharing frequently updated web content and Asynchronous Java Script and XML (so-called AJAX technologies) enabled immediate updating of page elements without the need to reload the entire webpage. Social media users usually need no knowledge of how these technologies work because they are incorporated into social media websites.

Levinson (2009) characterizes social media as part of “new new media” and notes their shared characteristics. First, consumers are also producers who are generally not motivated by receiving compensation for generating content. Content can take any form (text or audiovisual) and is typically available to consume and redistribute free of charge. These media forms may compete for attention with each other and with older media forms but at the same time they are synergistically “mutually catalytic” (p. 56) as the media forms actively promote the sharing of the consumer-generated content. Worldwide, over 200 social media websites exist, serving a wide range of purposes and new ones are created almost daily. Hogan and Quan-Haase (2010) have noted that that all media have social elements and that with respect to social media, “the boundaries of this term are not straightforward” (p. 310). Efforts to classify social media utilize function-related labels that stem from not only their creators’ intentions but also the fact that “they coevolve with their user base” (p. 310). Table 2.1 lists the major categories of social media and major websites within each (Kaplan & Haenlein, 2010; Mangold & Faulds, 2009). The history of the websites listed in boldface are discussed in more detail later in the chapter. It is important to note that individual social media often incorporate multiple functional elements. For example, social networking sites are likely to provide email capability, chat, and the ability to blog and post media/creative content. In addition, many social media users utilize multiple forms of social media.

Development of Social Media Forms: An Overview

The Pew Research Center’s Internet and American Life Project has been examining the Internet’s impacts on society since 1999 and began reporting on social media in 2005. A fall 2009 Pew survey reported that 79% of American adults used the Internet, and of these, 59% reported use of at least one social networking site. Among Internet users, Facebook was used by 92%, Myspace by 29%, LinkedIn by 18% and Twitter by 6% (Hampton, Goulet, Rainie, & Purcell, 2011). In terms of the history of social media, both blogs and social networking sites were the first types to emerge and together account for roughly 25% of all Internet use (Nielsen, 2011). Pew generally does not rank social media websites. Available rankings usually reflect a website’s registered users and/or website traffic. Just as the population of social media websites changes constantly, the data on the rankings of all social media websites is highly variable due to both change in the population of the websites and the variety of methodologies employed to gather the data. Any

TABLE 2.1 Social media: major categories and brands

<i>Major categories</i>	<i>Major brands, December 2011</i>	<i>Launched</i>	<i>URL</i>
Blogs	The Daily Post at WordPress.com Engadget	2011 March, 2004	dailypost.wordpress.com/ www.engadget.com/
Microblogging Sites	Twitter Tumblr	July, 2006 2007	twitter.com/ www.tumblr.com/
Social networking sites	Facebook Myspace Google+ Badoo Orkut Hi5	February, 2004 August, 2003 June, 2011 November, 2006 January, 2004 2005	www.facebook.com/ www.myspace.com/ plus.google.com badoo.com/ www.orkut.com/ hi5.com
Collaborative websites	Wikipedia	2001	www.wikipedia.org/
Content Communities/Creative works Sharing sites	YouTube Flickr	February, 2005 2004	www.youtube.com/ www.flickr.com/
Business Networking sites	LinkedIn Ryze	May, 2003 2001	http://www.flickr.com/ http://www.ryze.com/
Social News and Bookmarking Sites	Digg del.icio.us Reddit	November, 2004 2003 October, 2006	http://digg.com/ http://delicious.com/ http://www.reddit.com
Social gaming and virtual worlds sites	Second Life	June, 2003	http://secondlife.com/

Sources: Mangold & Faulds (2009); Kaplan & Haenlein (2010). (Data on blogs is found at www.blogpulse.com and technorati.com. General social media data can be found at www.ebizmba.com, www.comipete.com, www.quantcast.com, and www.alexacom.com.)

published table of social media rankings will have a short shelf life. However, several websites provide constantly updated data. Examples are eBizMBA, Compete, Quantcast, Alexa Internet, and Technorati.

Blogs

Blogs, originally called "web logs," arguably predate the first social networking site and there are several claimants for the first blog. Bloggers create and post content about topics that interest them and the content can take many forms including diary-like text and commentary, as well as multimedia content for others to consume. Consumers are often other bloggers and are able to post responses on the blog sites of others and read the responses posted by all. Blog entries are usually displayed in reverse chronological order and bloggers typically include lists of links to the blogs that they follow and other websites.

The concept of the blog evolved from online message boards, newsgroups, and bulletin boards that emerged as early as the 1970s and the identity of the creator of the first blog is a subject of endless debate. Nonetheless, the term "weblog" was coined in December 1997 by Jorn Barger who used it to describe his website, Robot Wisdom, in which he posted a daily log of the "articles about politics, culture, books and technology that he found interesting" (McCullagh & Broache, 2007, p. 1). The shorter label, "blog" emerged in 1999 after Barger began to substitute the phrase "we blog" for the word, "weblog." "Blog" became the preferred label and the word was first recorded in the Merriam Webster dictionary that same year. The first known census of weblogs (1999) listed only 23 but by the fall of 2000 they numbered in the thousands (Blood, 2000).

The online blogging directory and search engine Technorati (Technorati.com) began tracking the growth of the "blogosphere" in November 2002 when the number of blogs was between one and two thousand. By October 2004 the number had swelled to over 4 million and a new blog was being created at a rate of one every 7.4 seconds (Sifry, 2004). Early blogs conveyed the thoughts of their creators along with links to other web content of interest to the blogger (Boyer, 2001). While many others could read early blogs, actually creating one required some knowledge of HTML, the language of webpage creation, until the appearance of the online blog-building utility Blogger in 1999. Other free blog publishing tools quickly emerged, and the number of blogs and their user-generated content exploded as noted above (Blood, 2000). Blogger was acquired by Google in 2003 and remains one of the top five web publishing content management systems. WordPress, established in 2003, is the largest with a market share for content management systems of more than 50%. Drupal, Joomla, vBulletin, and Blogger rank second through fifth with market shares below 10% (W3Techs, 2011).

Microblogs: Twitter

Twitter (twitter.com) is a free microblogging service founded in March 2006 by Jack Dorsey, Evan Williams, and Biz Stone, three members of Odeo, a struggling podcasting business owned by Obvious Corp., a San Francisco firm (Twitter, n.d.). While traditional blog posts can be any length, microblogging involves sending and receiving short text messages shared with others through Short Message Service protocol (SMS; also called text messaging) or other online forms of communication. SMS messages conform to a standard length limit of 160 characters and the designers decided to limit Twitter messages, or "tweets" to 140 characters in order to leave space for the user's identification. Twitter operates on any device that accesses the Internet and is ideal for mobile devices like smart phones and tablets.

In its first year, many were skeptical of Twitter's value. The initial concept for Twitter encouraged users to compose and send a message that answered the question, "What are you doing?" Technology pundits mocked the service for the perceived banality of its short tweets and predicted its hasty demise. That view began to change when Twitter staged an effective demonstration at the 2007 South by Southwest Music, Film, and Interactive Festival in Austin, Texas (Green, 2007). As Twitter grew, it attracted notice in 2008 and 2009 for reporting breaking news before traditional media outlets (Arceneaux & Weiss, 2010). By 2011, Twitter was the number three social network or blog brand with more than 23.5 million unique visitors per month (Nielsen's Tops, 2011).

The Pew Internet & American Life Project (Hampton, et al., 2011) noted Twitter was used by 13% of the social networking community and that one-third of Twitter users used the SNS daily. A substantial percentage (34%) was between the ages of 23 and 35 with 60% younger than age 36. At the same time nearly one-fourth of Twitter users were between the ages of 36 and 49. With the exception of LinkedIn, the users of major social networking sites were women (64% in the case of Twitter) and predominantly White. In terms of education, 39% of Twitter users had either a trade school education or some college while 21% held a bachelor's degree and 18% had attended graduate school.

Twitter users first create a profile page that includes a photo, the user's location, website or blog home page address and a short biographical sketch. A link is provided that enables tweets to be posted to the user's Facebook page. Users can also link their Twitter accounts to their mobile phones and a host of third party software applications are available to facilitate linking Twitter accounts to other websites. As with all successful social networking sites, Twitter adds new tools and features regularly (Twitter basics, n.d.). For example, Twitter enables users to post web addresses as part of their tweets and will automatically shorten lengthy URLs to 14 characters. While Twitter does not host video clips, it enables the posting of clips from sites like YouTube and Vimeo. A "Twitter basics" page provides access to information on Twitter's basic and advanced functions and tools. While Twitter allows a private message to be sent to another user (called a DM or direct message),

most tweets can be read by anyone with access to Twitter. This makes Twitter especially valuable for politicians, marketers, and media as well as many other types of organizations that thrive on promotion or publicity.

Twitter users can reply to tweets or mention them in tweets to others. Users also forward or "retweet" (abbreviated, RT) interesting tweets to others and are often encouraged to do so by individuals and organizations intent on publicity. Twitter enables users to find and follow the tweets of others and to also search for tweets related to key words or topics. Twitter users developed the convention of using the # (hashtag) symbol to identify a searchable keyword. For example, a tweet about an Academy Award nomination might include #Oscars appearing as a hyperlink that leads to all tweets containing the same hashtag. A core value of Twitter is the ability to find and follow the tweets of friends and other individuals and organizations with its search function.

A consistent issue for social media firms is that of monetization, the development of revenue sources. Investments are a key resource. Some social network sites, like Myspace and YouTube, have been acquired by larger corporations that are publicly traded while others issue their own IPOs (initial public offerings) and raise revenue through the sale of stock. Among social network sites, LinkedIn has done this and Facebook went public in 2012. Twitter has been a privately owned enterprise from the outset and discloses little about its finances. In 2009, the online technology information directory CrunchBase published a list totaling \$1.6 billion in venture capital investments in Twitter since 2007 (Twitter, n.d.). The data had not been released by Twitter but rather it had been acquired by an Internet hacker and subsequently provided to CrunchBase (Miller & Stone, 2009). Other sources of revenue come from operations (usually from advertising and/or the provision of premium services).

For most of its first three years, Twitter operated on investment income while it concentrated on building the service, improving functionality, and adding users. The firm derived some income from licensing its stream of tweets to Google, Yahoo, and Microsoft. Then, in April 2010, Twitter announced it would initiate advertising in the form of Promoted Tweets that would appear when a user includes a designated keyword in a Twitter search (Miller, 2010; Tartakoff, 2010). The program has expanded with the addition of Promoted Trends and Promoted Accounts. Twitter provides a Trending Topics list function for its users and the paid Promoted Trends appear at the top of the list. Users who click on a Promoted Trend see all related tweets and can add their own comments. Twitter also provides a Who to Follow feature accessible by first clicking on the #Discover link on the toolbar at the top of the user's homepage. An algorithm-generated list of prospective Twitter accounts based on a user's Twitter activity is provided. The Twitter accounts of advertisers who pay for Promoted Accounts appear at the top of the window and are clearly labeled as "promoted" with a yellow icon (What are promoted accounts?, n.d.). Finally, the growing political significance of Twitter has caused the company to establish a separate promotional category for promoted

Tweets, Trends, or Accounts of a political advertiser. Political ads are designated with a purple icon (What are political ads?, n.d.).

Limited information is available about the cost of advertising on Twitter and the revenue generated. In December 2011, a story appeared in several online sources reporting that an email from Twitter's sales department had revealed then-current advertising charges. Promoted Tweets were priced on a cost-per-engagement (CPE) basis for "clicks, favorites, retweets and '@Replies.'" at \$0.75 to \$2.50. Promoted Accounts ads were priced according to a cost-per-follower (CPF) between \$2.50 and \$4 (Trewe, 2011, para. 2). Prospective advertisers were advised in the memo that they must have an established Twitter presence, and must commit to spending \$15,000 to \$25,000 in the first three months. The program was described as operating at the beta test level and at the time was reaching about 25% of Twitter users (Heine, 2011).

Wikipedia

Wikipedia (www.wikipedia.org) was created in 2001 by Jimmy Wales and Larry Sanger and is operated by the nonprofit Wikimedia Foundation. Wikipedia is an international Internet encyclopedia that is the product of the collaboration of an online community of tens of thousands of volunteer contributors from around the world. Traditional published encyclopedias are created and edited by content authorities, but anyone can add or edit entries in Wikipedia. In this way Wikipedia exemplifies the idea of user collaboration that is at the heart of the Web 2.0 concept and social media forms. In 2000, Wales and Sanger failed in an attempt to develop a more traditional, expert-based online encyclopedia, Nupedia, because the process of developing each entry was too long: two completed entries in six months. In contrast, the volunteer-based Wikipedia offered over 20,000 entries at the end of its first year (Fletcher, 2009). At the start of 2012, Wikipedia offered over 20 million entries of articles in 283 languages and was supported by over 100,000 regular contributors (Wikipedia, n.d.). Data on the English language version reported more than 3.8 million articles. Wikipedia accepts no advertising and instead relies on foundation support and user donations to the Wikimedia Foundation raising \$20 million in 2011 alone (Walsh, 2012). Wikipedia is consistently ranked among the ten most visited websites in the U.S. and worldwide.

Wikipedia operates under a set of rules that have been modified over its eleven-year history to confront challenges to the website's integrity and its information's reliability. The website directs potential contributors to Wikipedia's own style manual and provides information on basic principles (e.g., verifiable accuracy, verification of information through citation of reliable sources, impartiality, adherence to copyright and other laws, and child protection) as well as guidelines related to offensive material, etiquette in online collaboration, and the avoidance of "gaming the system" or otherwise acting in bad faith (e.g., vandalizing a page) (Wikipedia Guidelines, n.d.).

Despite the rules and guidelines established by Wikipedia, concerns about the reliability of its contents persist. It has been common practice in academic settings for educators, librarians, and others to caution learners against relying on Wikipedia entries as source material. In order to evaluate these concerns, Fallis (2008) investigated the epistemic consequences or contributions to knowledge of Wikipedia use and his work lists and evaluates the primary criticisms of Wikipedia, including first and foremost, its accuracy (and honesty), and the thoroughness, currency, and comprehensibility of its entries. Fallis notes inaccurate information can be reported through error or design and that there have been instances of inaccurate information appearing in Wikipedia for months before being corrected by administrators or other registered users.

Another concern with Wikipedia stems from the fact that content creators work anonymously. This can obscure readers' ability to judge contributors' potential for bias and conflicts of interests. The credibility of contributors and their work can be revealed by the quality of their writing and documentation of source material, but subsequent edits can conceal the questionable quality of the work of the initial contributor. Inaccuracy can remain but not be as evident. Removal of important and correct information can be especially problematic as it may not be noticed without a close reading of the page's history. Despite these concerns, Fallis concludes that information in Wikipedia, while not perfect, compares favorably with information in more traditional encyclopedias and with information that people would be likely to locate online if Wikipedia did not exist.

YouTube

YouTube (www.youtube.com) is a video-sharing website created in early 2005 and officially launched in December of that year by Steve Chen, Chad Hurley, and Jawed Karim (Cloud, 2006). Chen, Hurley, and Karim are members of the so-called "PayPal Mafia," a group of about 20 former associates of online payments service PayPal before it was acquired in 2002 by eBay. Members of this group have been key figures in the establishment and success of a large number of social media (O'Brien, 2007).

YouTube consistently ranks among the ten most visited websites, thereby increasing the dominance of parent corporation, Google, Inc., the most visited website in the world. YouTube demonstrated several key characteristics of social media forms from the outset. It was designed to be advertiser-supported, built to provide user-generated content, and it did not require sophisticated technical knowledge to participate. Within two months of its first posted video in 2005, YouTube had achieved 13.9 million views. Further, the young membership of the then-popular social networking site Myspace had embraced YouTube and were actively posting clips and linking them to their Myspace pages. This, along with technical enhancements, enabled users to include YouTube videos in other websites and create links between videos accelerated the growth of YouTube (Cloud, 2006; Grossman, 2012).

YouTube faced numerous challenges in its early period of operation. First, the expense of bandwidth and expanding both server capacity and staffing to accommodate the exponential growth of the site's video content would require not only increased advertising revenue but also substantial investor support. YouTube picked up \$1.5 million in financial support from hedge fund Sequoia Capital in its first year (Cloud, 2006; Helft, 2006; Sorkin & Peters, 2006). Its rapid growth was certainly noticed by advertisers and YouTube responded with a program that enabled advertisers to create and post their own promotional web videos.

YouTube monitored posted videos and routinely removed content that it deemed inappropriate but the issue of copyright would prove to be a greater challenge as YouTube fans posted music videos and clips from television shows and movies popular with younger viewers (The trouble with YouTube, 2006; Seabrook, 2012). YouTube also followed a policy of removing copyrighted material not as a matter of course, but rather if the copyright owner asked for it to be removed. In mid-2006 YouTube was growing at the rate of 65 million new video clips posted each day and copyright concerns were growing. YouTube introduced Content ID, a technology that facilitated identifying content uploaded without copyright permission and alerted its owners. Notified copyright owners could then order that the content be removed, link their own ads to it (sharing revenue with YouTube), or do nothing. NBC signed on in June and shortly thereafter Warner Music agreed to post its entire collection of music videos in exchange for a negotiated percentage from the YouTube-placed ads that appeared with the videos. This would not only allow YouTube users access to the music videos for viewing but also to use the music in soundtracks of their own video creations (YouTube model is compromise over copyrights, 2006; Seabrook, 2012). Within a few years Content ID was responsible for more than 30% of YouTube revenue (Seabrook, 2012).

Despite its challenges, the growth of YouTube was enticing to larger firms like Microsoft, Yahoo, News Corp., and Viacom, and YouTube became a target for acquisition. However, it was web giant Google, Inc. that reached an agreement to purchase YouTube on October 6, 2006, for \$1.65 billion in stock. By this time YouTube videos were being viewed at a rate of 100 million per day (Ovide, 2011). Having the financial and legal resources of Google behind YouTube promised a brighter future as it faced growth and copyright challenges. On the same day the Google deal was signed, YouTube also reached deals that would enable it to carry CBS programming as an experimental "brand channel" as well as music videos from Universal Music Group and Sony BMG Music Entertainment (Collins, 2006; Sorkin & Peters, 2006; Wood, 2006).

Earlier predictions of copyright litigation involving YouTube became reality in early 2007. In February, Viacom (owner of MTV, BET, VH-1, Comedy Central and Nickelodeon) demanded YouTube remove more than 100,000 Viacom-produced video clips and YouTube complied promptly (Lombardi, 2007). However, in March, Viacom sued YouTube and Google alleging willful

copyright infringement. Viacom cited YouTube's postings of 160,000 Viacom-owned video clips that had been viewed more than 1.5 billion times and the lawsuit sought both a permanent injunction and more than \$1 billion in damages. However, in an October 2010 decision the New York Federal District Court ruled the 1998 Digital Millennium Copyright Act protected websites from copyright infringement claims even if the websites knew that copyright infringement was taking place on their sites. Instead, such websites are only required to address infringed material that has been specifically identified by its copyright holder. While the ruling was seen as a significant victory for YouTube, Viacom appealed. In October 2011 Viacom's attorneys went before the 2nd U.S. Circuit Court of Appeals in New York to have the 2010 lower court decision overturned (Neumeister, 2011). A decision is pending.

As the Viacom copyright litigation progressed, YouTube achieved a number of significant milestones. Advertising on YouTube took the form of banner ads on its homepage and smaller ads adjacent to thumbnails promoting other video clips. In 2007 YouTube began superimposing pop-up banner ads over the lower portion of actual videos. The next year YouTube introduced pre-roll ads: running an ad just before the desired video clip begins, a common technique on websites that feature video content (Ovide, 2011). Also in 2007 YouTube began a Partner Program. Partners are individuals (often would-be celebrities), groups, and other online media entrepreneurs who create and supply content for channels. Partners derive income from ads placed on their channels (Seabrook, 2012).

The political role of YouTube evolved substantially between 2006 and the 2008 Presidential election and the website developed into a key information source. In an April 2007 announcement YouTube stated it would syndicate political content to a sister site, CitizenTube, a news and politics blog that provides the added dimension of comments on both video posts and the posts of fellow bloggers. Seven presidential candidates announced candidacies on YouTube and soon campaigns for state and local elections appeared. "YouTube has, in some very real ways, become the 21st century town hall for political discussion" (Welcome to (the new) CitizenTube!, 2008, para. 3). In advance of the 2008 Presidential election YouTube partnered with CNN in both Democratic and Republican primary debates that began in 2007. Citizens submitted questions for the candidates as YouTube videos and the debates were streamed live on YouTube. News clips from media sources have been a staple of YouTube from the beginning. Candidates, governments, as well as political parties and groups have learned to use YouTube and other websites to deliver targeted messages directly to voters, bypassing traditional media in their original form while at the same time becoming part of the source material for regular news reporting.

In 2009, YouTube introduced Auto-Share, an important tool for promoting newly posted video content. When a YouTube partner posts a clip, the Auto-Share option on the upload page enables instant notifications to the Partner's contacts via webmail and social media like Facebook or Twitter (Seabrook, 2012).

YouTube began a transformation in 2010 designed to increase its revenue and transition to profitability. The homepage was redesigned to make it less cluttered by replacing the familiar grid of video frame thumbnails with a banner ad at the top, a prominent center column of current popular video clips, a column of channel buttons on the left, and a column of recommended videos on the right (Grossman, 2012). A streaming movie service was added in 2010 following the success of Netflix, but in addition to first-mover advantage in the field Netflix had access to more content and offered a monthly flat rate while YouTube charged by the video. YouTube's solution to this issue has been the pursuit of professionally created original content.

YouTube reached 1 trillion unique visitors in December 2011 and its other statistics were equally staggering: an average of 48 hours of new video uploaded every minute and more than 3 billion page views per day. However, YouTube fans averaged only 15 minutes on the site per day and that would have to increase in order to attract more revenue (Seabrook, 2012; Tsukayama, 2012). In the keynote address to the 2012 Consumer Electronics Show in Las Vegas, Google's Vice President of TV and Entertainment Robert Kyncl predicted that over 75% of the next decade's television channels will emerge online (Tsukayama, 2012). His reasoning appears to be sound. In a January 2012 interview Kyncl reviewed the decades-long expansion of channels and resulting audience fragmentation of television and noted that small audiences are deadly for broadcast and cable television but normal and potentially even profitable for online content. Opportunity exists online. Advertisers spend \$60 billion annually on television, but only 5% of this amount supports online television. Further, in addition to the continued growth of smart phone and tablet devices, households are rapidly acquiring both Wi-Fi-enabled digital televisions and other devices that stream video to the home screen (Seabrook, 2012). Arizona-based research firm NPD In-Stat predicts that between 2011 and 2016 the installed base of networked devices capable of delivering video content will increase more than 500% to 1.34 billion units (Installed base of connected devices to reach 1.34 billion in 2016, 2012).

In 2011, YouTube announced it would invest \$100 million of development money in new channels. Channel creators, who would own the content they produce, would agree to provide a minimum amount of programming while YouTube sells advertising and enjoys exclusive rights to carry the content for one year. Development funds received from YouTube would be considered an advance on advertising revenue. In October 2011, over 100 YouTube Original Channels were announced along with plans for most to debut by 2012 (Seabrook, 2012). Channels represent an enormous range of interests from established sources (e.g., *The Onion*, *The Wall Street Journal*, and *Slate*), and new ventures (e.g., Deep Sky Videos, New Animators, and Digs) (More great content creators coming to YouTube, 2012).

Social Networking Sites

Social networking sites (SNSs) are the most popular, widely used, and recognizable social media. They are

web-based services that allow individuals to (1) construct a public or semi-public profile within a bounded system, (2) articulate a list of other users (friends) with whom they share a connection, and (3) view and traverse their list of connections and those made by others in the system.

(boyd & Ellison, 2008, p. 211)

Key features of social network sites are profiles that list a user's friends and the absence of a predetermined structure that allows structure to emerge through the interaction and collaboration of the site's users (boyd & Ellison, 2008; McAfee, 2009).

boyd and Ellison (2008) have documented the history of social media and social network sites from 1997 to 2006. Beer lauded the authors' work, noting that

perhaps most credit should be given for their attempts to construct a history of SNS, the resulting timeline is highly usable and highlights just how quickly these things are moving into everyday life (and even falling out again in the case of Friendster).

(2008, p. 210)

The first website that displayed the characteristic features of an SNS was SixDegrees.com, launched in 1997. This site incorporated user profiles and its members began by listing email address of ten friends (contacts) that represented the user's first degree. Boyd and Ellison note earlier sites (e.g., dating and community websites) had incorporated user profiles, and lists of friends were common to instant messaging sites but the lists were not displayed to others. In SixDegrees, friends of the initial "first degree" who agreed to join listed 10 more friends and this process was replicated through four more levels (the sixth degree). SixDegrees provided email, online bulletin boards, and messaging services (Bedell, 1998). Although SixDegrees attracted millions of users, it never developed a sustainable business model and ended in 2000 (boyd & Ellison, 2008).

The timeline of SNS launch dates provided by boyd and Ellison shows that the pace of creation of new social network sites increased dramatically after 2002 and that the most successful and prominent SNS sites were established after 2003. However, between 1999 and the end of 2002 a small but steadily growing number of social network sites were launched and all but one still exist in some form. Ten of these were included in the boyd and Ellison timeline as true social network sites. Like SixDegrees, these sites demonstrated the potential of social networking and as early entrants helped to shape this media segment. The ten expanded the

diversity of social network users by demonstrating the potential for SNSs to attract users based on more than acquaintanceship as they were built around shared language, nationality, ethnic heritage, interests, and professional associations. Their evolution is illustrative of the impacts of both competition from newer social media and acquisition by other media firms.

Early Social Networking Sites

LiveJournal (1999), a platform for blogs and user journals, began as a "college project" shared among friends but its user base expanded rapidly. LiveJournal is based in San Francisco but has been owned by SUP, a Russian Internet firm, since 2007 (LiveJournal, Inc., 2011). Several social network sites geared toward specific segments of the population also emerged during this period. AsianAvenue (oriented toward Asian Americans and Asians living in the U.S.) and BlackPlanet (Black Americans) were established in 1999. The next year MiGente (Latino Americans) and LunarStorm (Swedish teens) were launched. LunarStorm was extremely popular with Swedish teens for a time but its popularity waned as new social network sites emerged and the site was closed in 2010 (LunarStorm, 2011). AsianAvenue, BlackPlanet, and MiGente are all owned by the New York-based firm Community Connect Inc., a subsidiary of Radio One Inc. (Community Connect Inc., n.d.). Cyworld, established in South Korea in 1999 and currently owned by the nation's dominant telecom provider, SK Telecom, evolved to become that country's most popular social networking site. In November 2011, Cyworld launched Global Cyworld in an effort to overcome problems that had thwarted earlier attempts to penetrate the North American, Japanese, and European markets (Tebay, 2011). Fotolog, established in 2002, facilitates sharing of online photoblogs or photo diaries. Like other early social networking sites, Fotolog was created to connect its creators and about 200 of their friends (About Fotolog, n.d.). By August 2007, Fotolog had attracted 10 million users and was acquired by the Hi-Media Group based in France for \$90 million (Frommer, 2007). Skyblog (now Skyrock) was established in France in 2002 as a blogging website. However, the site was rebranded in 2007 as Skyrock, a more full-featured social network site in order to link the site's identity with that of Skyrock radio, France's most popular radio station for the under-25 market. In April 2011, Skyrock (the website) hosted 33.5 million blogs while Skyrock Radio reached 4 million listeners per day (Chrisafis, 2011). The early social network site Ryze (2001) was oriented toward the business community, particularly that of the San Francisco area where many social network sites would emerge (boyd & Ellison, 2008). Ryze still operates but does not attract many users having been eclipsed by other business-oriented SNSs, particularly LinkedIn (Hansell, 2006a).

The history of Friendster, launched in 2002, is a cautionary tale that serves as a particularly interesting transition from the early period of social network sites to the more significant firms that emerged after 2002. Friendster's developer, Jonathan

Abrams, employed the now-familiar concepts of user profiles and friends and early users were interested in dating and other social contacts. Established in California's Silicon Valley, Friendster rapidly attracted both media attention and a burgeoning user base that grew to 3 million in the first six months of operation. Developing online giant Google offered \$30 million for Friendster in 2003 but Abrams declined and recruited other investors. However, Friendster's ability to innovate could not keep pace with its growth and new competitors, particularly Myspace, added features that Friendster lacked. In addition, Friendster's fast growth overtaxed its technological infrastructure and as Friendster users soon learned that Myspace pages loaded ten times faster than Friendster pages, they moved to the newer social network (Sellers, 2006). Friendster's board replaced Abrams as CEO in 2004 and the position turned over two more times by the end of 2005. Friendster never regained the traction enjoyed in its early days (Rivlin, 2006; Chafkin, 2007). Friendster was acquired in 2009 by a Malaysian firm and since 2011 has functioned as a social gaming site and the user data from Friendster's social networking years was deleted (Friendster, n.d.).

The Development of Major Social Networking Firms

Myspace

The creation of Myspace (www.Myspace.com) in 2003 has been attributed to Friendster's enormous early popularity and success (Hansell, 2006a; Sellers, 2006). Like Friendster, Myspace also achieved rapid success that contributed to the decline of Friendster. Ironically, the initial appeal of Myspace also proved to be short-lived for reasons that parallel Friendster's difficulties (Gillette, 2011). Myspace was established by Chris DeWolfe and Tom Anderson, whose firm Response Base, an online marketing business was acquired in 2002 by eUniverse. Anderson was already familiar with earlier social networking sites like AsianAvenue, BlackPlanet, and MiGente. Further, Anderson, DeWolfe, and others at eUniverse were early members of Friendster and began to see potential for other approaches.

Anderson and DeWolfe recruited local bands seeking publicity as well as other creative types including "artists" whose appeal often included scanty attire. Percival (2009) reports eUniverse ran a contest among employees to see who could sign up the most members for MySpace and that the firm also recruited via an email campaign directed to members of its other company-owned websites. Gillette (2011) asserts that through an oversight in planning, "developers realized that they had accidentally permitted users to insert Web markup code, allowing them to play around with the background colors and personalize their pages" (para. 18). Rosenbush (2005) credits the early success of Myspace in part to this oversight as it added user-controlled openness that allowed customization of pages by individuals and groups, noting that "results can be sophomoric or salacious, but they're riveting in the same way reality-TV is" (para. 10).

By June 2005, Myspace achieved 14 million unique monthly visitors while Friendster's popularity peaked. The site was incredibly popular with 16–34-year-olds and attracting advertising from firms like Target and Proctor and Gamble. Record companies launched new albums on Myspace. More established Internet firms like Microsoft, America Online, and Yahoo! saw the success of Myspace and were evaluating the addition of social networking to extending the array of services provided by these web portals (Rosenbush, 2005). In July 2005, the international media conglomerate News Corp. purchased Myspace for \$580 million (Jackson, 2011). News Corp. also acquired other web entertainment sites for approximately \$720 million more with the intention of building its own online portal. While Anderson and DeWolfe continued to run Myspace, News Corp established the Fox Interactive Media division (FIM) under Fox executive Ross Levinsohn to run it. Myspace became the centerpiece of FIM and instead of branding the venture with the well-known Fox name, News Corp. CEO Rupert Murdoch announced that the youth-oriented portal would be built around the Myspace brand with video downloads, improved instant-messaging, international sites in a dozen countries, and VoIP phone service as enhancements (Angwin, 2006; Gillette, 2011). Some analysts suggested Murdoch also envisioned building the strong following of Myspace among music enthusiasts into a competitor to MTV (Sellers, 2006; Jackson, 2011). However, Murdoch's plans would require several challenges to be surmounted.

Myspace exemplified the social network characteristic of user-generated content. It was "home to 2.2 million bands, 8,000 comedians, thousands of filmmakers, and millions of attention-starved wannabes" (Sellers, 2006, para. 5). Members enjoyed customizing their Myspace pages with music videos and with forms of self-expression including sometimes provocative pictures of themselves along with their art; poetry, blog posts, and other writing (usually about themselves); video clips, music, and links to their favorite websites. As much as members enjoyed creating and maintaining their own pages, it was common for teens to spend two or more hours per day visiting other Myspace pages, and sending instant messages and short announcements called "bulletins" to their friends. In the words of one Fox executive, Myspace was "a site programmed by its users" (Hansell, 2006b, para. 30). Young members frequently described the Myspace experience as addictive (Kornblum, 2006). Other observers were more critical, calling the often risqué online destination "a den of youthful excess and, potentially, as a lure for sexual predators," labels that might deter many advertisers (Hansell, 2006b, para. 10). State attorneys general began investigations into the safety of Myspace for young consumers and in the wake of this negative publicity Myspace agreed to a series of safety agreements with the states (Gillette, 2011).

In addition to dealing with the reputation of tawdry content, FIM would also have to raise the advertising rates charged by Myspace as it increased the volume of advertising content through the integration of MySpace with other News Corp. properties and expanded the number of advertisers. Further, it would have to take

these steps without alienating a loyal Myspace user base by over-commercializing the site (Hansell, 2006). Levinsohn wanted to expand the role of an innovation started by DeWolfe wherein advertisers could join the online community with their own profile pages, thereby allowing other members to interact with them like any other friends. Hansell (2006a) cites as an example how Wendy's Old Fashioned Hamburgers created an animated profile that was soon joined by nearly 100,000 friends. During the summer of 2006, FIM and Myspace negotiated a deal in which Google would pay \$300 million per year for three years. Myspace made Google its search engine and agreed to a series of growing page view targets. Ad volume doubled but page clutter increased significantly (Hansell, 2006a).

In January 2006, Myspace had 47.3 million (mostly young) members and was growing at a rate of five million per month. Already attracting more traffic than Google, in August 2006 Myspace was second in page views behind Yahoo and captured 82% of the traffic of existing SNSs (Sellers, 2006). New features were added including classifieds, security and privacy tools, and even virtual karaoke with most enhancements created in-house rather than by third party interests. However, in an effort to bring Myspace to life quickly, in 2003, developers built the site on the easy-to-use but unsophisticated ColdFusion programming language. Glitches and bugs in Myspace technologies multiplied and the need to upgrade Myspace to a newer and more robust language became clear (Gillette, 2011).

As Myspace encountered the headwinds of legal and public scrutiny of its content, safety practices, and technological shortcomings during 2006, Twitter emerged and Facebook became open to everyone. Just as Myspace had learned from the problems encountered by Friendster, Facebook learned from Myspace and created a safer-appearing online home. Gillette (2011) asserts News Corp.'s CEO Rupert Murdoch increasingly directed his attention to new ventures including acquiring the *Wall Street Journal*, a deal finalized in 2007. Myspace traffic peaked in December 2008 in the U.S. (Gillette, 2011). By the start of 2011, Myspace membership was 63 million while Facebook exceeded 500 million (Jackson, 2011). In April 2009, founders DeWolfe and Anderson were replaced and staff was reduced dramatically (Gillette, 2011).

By May 2011, Myspace traffic had dropped to 34.8 million unique visitors per month and ad revenue was less than half of the 2009 peak (\$470 million). In February 2011, News Corp. announced it would sell Myspace and its asking price was around \$100 million. In June, a deal was reached with online advertising company Specific Media for \$35 million in cash and a 5% stake in Specific Media (Finner, 2011). Specific Media characterizes Myspace as a "social entertainment destination" (www.myspace.com). Ironically, the homepage contains a link for connecting to Myspace via Facebook.

LinkedIn

LinkedIn is the dominant online social network focused on business interests and the professional community. LinkedIn's focus on networking among business and professional users sets it apart from more general social networks like Myspace and Facebook. LinkedIn was created in 2002 by noted social media entrepreneur Reid Hoffman who, along with 10 associates, launched the service as LinkedIn Ltd. in May, 2003. In early 2012 LinkedIn counted more than 150 million members worldwide, and operated in 16 languages. The company is headquartered in Mountain View, California, and operates in five other U.S. cities and 16 major business centers outside the U.S. (About Us, n.d.). LinkedIn's "members are able to create, manage and share their professional identity online, build and engage with their professional network, access shared knowledge and insights, and find business opportunities, enabling them to be more productive and successful" (What does LinkedIn do? n.d., para 1).

Like the founders of YouTube, Hoffman is a member of the "PayPal Mafia" and attributes his vision for LinkedIn from lessons learned during his time with the online payments service. Hoffman realized that PayPal's success depended substantially upon knowledge acquired from professionals in such diverse fields as finance, computer science, e-commerce, and regulation (Lee, 2009). "I realized that everyone will have their professional identity online so they can be discoverable for the things that will be important to them," he remembers, waving his hand as he sits back in his chair. "The obvious one is jobs, but it's not just jobs. It's also clients and services. It's people looking to trade tips on how you do, say, debt financing in the new capital markets" (Hempel, 2010, para. 16). Hoffman and his colleagues sought to build a network whose value would lie within the knowledge and experience of connected professionals, focusing first on network growth in 2003 and then adding job listings, enhanced search and communication functions (offered as subscription-based services), and advertising in 2005 (Lee, 2009).

Initially LinkedIn user profiles contained basic information about the member's academic and professional credentials and professional experience. It functioned as a type of online résumé and in many respects it still does. However, as early users of other social media quickly acquired the practice of updating personal information, links, and other posts on their Myspace and Facebook pages, it made sense to offer ways to update and enhance LinkedIn profiles making them more interesting with professionally appropriate information and, more valuable, with an expanding array of methods for connecting with others. The 2003 version of the homepage provided buttons that enabled users to find people (clients, partners, sales leads, and customers), jobs and reputable job prospects, and services (recommended by others). A hyperlink at the bottom of the page enabled access to a growing number of groups based on members' common interests and shared experiences. The slogan, "Relationships Matter" was added to the homepage in 2006 as LinkedIn continued to emphasize the value of members' knowledge and

encouraged members to use LinkedIn to reconnect with former colleagues, gain advantage in finding the ideal job or job prospects, and find the people who could help the member achieve his or her goals. At the same time members were reminded that LinkedIn was a valuable tool in controlling their professional identity online, a consideration that people might overlook in their representation in other social media (Smarty, A., n.d.).

The contemporary version of a profile page presents a comprehensive picture of the member's professional life. A subset of this information appears in a grey box at the top of the profile and a customizable list of other categories continues below the box. The box features the member's name prominently along with his or her picture and a heading below the member's name. The box also contains a summary listing current and past positions held, education, brief statements of recommendations solicited from present or former associates, the number of LinkedIn connections of the member, and the member's Twitter account and other websites. While the information is fixed and brief, standard categories enable the same information to be presented in an expanded format and categories can be rearranged or even removed. Further, an "Add Sections" link allows users to list additional categories. Beyond expanded versions of information from the grey box, categories include interests, groups, limited personal information, a list of the types of contacts the member would like to receive from others, a selection of applications ("apps") that enable further customization of the profile, and a list of skills and expertise. Perhaps the most significant category option is the "Summary" that appears just below the grey information box. Beyond the categorized information of the profile, the summary should present the member to the larger LinkedIn community in a manner that highlights both accomplishment and potential.

Clearly LinkedIn is configured to serve as a powerful tool in finding a job. Members are encouraged to build their personal networks by establishing connections with present and former associates, business contacts, members of groups, and members with similar interests and expertise. These members become first degree connections and their contacts are potential second degree connections. Connections can be queried for leads on jobs and members can use LinkedIn's job search tool to identify posted openings and at the same time research the prospective employer and the networked professionals who already work there. LinkedIn's Answers tool enables members to pose questions for others in the network to answer. This process enables members who pose questions to tap into the knowledge of others when problem solving. At the same time answering questions posed by others helps establish a member's expertise in way that can lead to an employment inquiry from a firm.

LinkedIn became a publicly traded company with an initial public offering on May 19, 2011 (Mui, 2011). For 2011, revenue was \$522 million, more than doubling the 2010 figure. LinkedIn has three revenue streams. LinkedIn Hiring Solutions, a suite of recruiting tools that seeks to identify and reach both active

and passive job prospects, is used by more than 9,000 organizations and generates half of LinkedIn's revenue. LinkedIn Marketing Solutions is the company's advertising unit and generates roughly 30% of annual revenue. Finally, LinkedIn Premium Subscriptions revenues contribute about 20% of revenue (About Us, n.d.; Mui, 2011).

Facebook

Facebook (www.facebook.com) has grown to become the world's largest social networking site with over 900 million active monthly users. An October 2011 report from the digital marketing research firm comScore reported that one of every seven minutes spent online was devoted to Facebook (It's a social world, 2011). On February 1, 2012, Facebook filed documents with the U.S. Securities and Exchange Commission (SEC) outlining a much anticipated initial public offering (IPO) in the company, which was completed in May 2012. The documents provide details of Facebook's finances that had previously been the subject of speculative estimates. These included a report of prior year profit of \$1 billion from \$3.7 billion in revenue (Facebook, Inc., 2012; The value of friendship, 2012). Facebook revenue comes from advertising and payments for virtual and digital goods.

Evans (n.d.) noted that non-advertising revenue had increased 247% between late 2010 and late 2011 and generated approximately 15% of Facebook's 2011 revenue. Most of this revenue is associated with spending on games developed by the firm, Zynga. A popular Zynga game is "Farmville" in which players start with credits that enable them to establish a farm from scratch. Naturally, a farm needs livestock, seeds to plant, and farm implements, so the game entails start-up costs. To succeed, players must generate additional credits through the success of their operations or buy them in the form of Facebook Credits. Facebook intends to extend the use of its credits system to other types of purchases. Evans likens Facebook credits to a foreign currency, noting Facebook's membership would comprise the third largest country in the world if it were one nation. Just as in the real world, currencies can be converted, Facebook Credits can be converted to a currency like the U.S. Dollar. Evans notes that when Facebook Credits are used for products, Facebook intends to keep 30% of the dollar value of the sale.

The establishment of Facebook has been the subject of innumerable articles, several books, and at least one 2010 feature film (*The Social Network*). The now familiar storyline begins with the work of Harvard University undergraduate Mark Zuckerberg to create an online directory, initially called Thefacebook, in February 2004. Thefacebook functioned as an early social networking site that enabled Harvard students to create and share online profiles. However, three other students accused Zuckerberg of stealing their idea for a website and the dispute led to litigation that was not settled until 2008 (Swartz, 2011). Thefacebook expanded to cover several other universities in 2004 and in that same year Zuckerberg and

three colleagues incorporated and moved operations to Palo Alto, California. The firm's name was changed to Facebook in August 2005 and received a \$500,000 infusion of investment backing from former PayPal executives (Facebook, n.d.). Facebook expanded to high schools in 2005 and finally to anyone over the age of 13 in September 2006.

Following what has become common practice in the use of social networking sites, Facebook users create an account that presents the user's profile, covering age, sex, relationship status, interests, political and religious views, education, employment, and favorites (bands, movies, TV shows, books, and activities). In order to expand the network of Facebook friends, new members are asked to join a network of Facebook users in their area and encouraged to establish connections instantly to, for example, all Facebook users who work for the same organization (or who listed the same high school or college affiliation). For most personal information Facebook users can control who has access to it (friends, friends of friends, the user's whole network, or no one).

By the end of 2006, Facebook had 12 million registered users (Timeline, n.d.). In the early stages of a social networking site's development rapid growth is accompanied by rising costs and a firm must secure its financial future. Facebook received major investments of \$12.7 million in 2006 and \$27.5 million in 2007. In addition, Microsoft became a major investor in 2007, having first signed a deal in 2006 whereby Microsoft gained exclusive rights to provide banner advertising on Facebook in the U.S. The deal was expanded to international advertising in 2007 as part of a \$240 million equity investment in Facebook by Microsoft (Microsoft and Facebook, 2006; Facebook and Microsoft, 2007). Following the 2005 acquisition of Myspace by News Corp. speculation arose that Facebook would also be acquired by an established firm. However, Zuckerberg rejected a \$750 million bid from Viacom and a \$900 million offer from Yahoo (Hansell, 2006a; Rosenbush, 2006). Additional investments in subsequent years combined with the development of revenue from operations enabled Facebook to remain independent. Through January 2011, Facebook has received investments totaling \$2.24 billion (Facebook, n.d.).

Facebook has made extensive use of a tool called the application programming interface (API). An API provides an interface between the software of two entities. As a common example, when you make an online purchase with a credit card, the vendor verifies your credit card information and status through an API. Facebook officially launched the Facebook Profile on May 24, 2007. The tool enabled third party developers to create applications inside Facebook's network. For example, developers were able to display their own advertising and provide services (like games) that will generate revenues shared with Facebook. At the launch event, Facebook announced that 70 firms including Microsoft, Amazon, and *The Washington Post* were developing applications (Arrington, 2007). The Facebook Profile is the foundation upon which Facebook's revenue from operations is based. Other 2007 revenue-oriented developments included the Platform for

Mobile, classified advertising (Marketplace), and a self-service advertising platform (Timeline, n.d.).

Facebook's value to other members, advertisers, and application developers resides in the information about themselves disclosed by its nearly one billion users and the privacy of information Facebook holds from its users has been a consistent issue for the firm. A 2006 innovation, News Feed, was not well received by the growing Facebook community but Facebook responded quickly and averted an escalating problem. News Feed automatically sent notice of Facebook page updates (e.g., new friends, new posted material) to a member's entire network of friends. Users with many friends were suddenly overwhelmed by these updates. More importantly, some users protested that the practice compromised their privacy despite the fact that News Feed only disseminated information already posted to members' Facebook pages. Zuckerberg intervened and Facebook quickly provided a privacy feature but otherwise left News Feed intact. Relatively few people opted out and News Feed contributed to even more rapid growth of Facebook's online community (Thompson, 2008). In November 2007, a more serious problem developed when Facebook launched Beacon, a tool that notified members via the News Feed about their friends' purchases and other online activity connected to selected web-based firms. Along with these notifications Beacon displayed relevant ads adjacent to the News Feed updates in an online form of word-of-mouth advertising (Story & Stone, 2007). Users were able to decline tracking but only on a site-by-site basis rather than across the board. The practice led to a class action lawsuit filed in 2008 over the issue of revealing users' personal information to gain advertising revenue and the program was ended in 2009 with a settlement in which Facebook provided \$9.5 million to establish an online privacy, safety, and security foundation (Ortutay, 2009).

A 2008 Facebook innovation, Facebook Connect, enabled members to log into third party websites "using their Facebook identification and see their friends' activities on those sites" (Stone, 2008, para. 2). In 2010, Facebook announced plans to replace Facebook Connect with the concept of the "Open Graph" in its continuing effort to make the web more social through increased connections. A key feature of the concept is the "Like" button introduced in April 2010. A "Like" link was added below each Facebook post (and comments on posts) that appeared in a member's News Feed and a "Like" button was added to most Facebook ads. Third party organizations were also able to install "Like" buttons. Clicking a "Like" button on a member's post, an ad, or a story in a newspaper's website notified the member's friends that the member had just "liked" something. Members could see what their friends liked online (and follow their lead) and also how many of their friends liked the same thing. At the same time Facebook possessed the ability to track its members' visits to websites that contained a "Like" link even if the member did not click on it. Nonetheless, within a year 350,000 sites had installed "Like" buttons (Gelles, 2010).

Shortly before its February 1, 2012 filing of pre-IPO documents with the SEC, Facebook settled a set of charges with the Federal Trade Commission stemming from seven specific alleged failures to abide by its stated privacy policies (Facebook settles, 2011). The FTC concluded that Facebook had misrepresented facts concerning sharing of members' data with third-party firms, especially for advertising purposes. The settlement "bars Facebook from making any further deceptive privacy claims, requires that the company get consumers' approval before it changes the way it shares their data, and requires that it obtain periodic assessments of its privacy practices by independent, third-party auditors for the next 20 years" (Facebook settles, 2011, para. 5). Facebook has agreed to follow the law and faces financial penalties if it does not.

An analysis of the relationship between the settlement with the FTC and the announced plan for an initial public offering of Facebook stock (Sengupta, 2012) observed that "Facebook's greatest achievement is also the source of its greatest challenge" (para. 7). On the one hand, Facebook has been successful in getting its members to reveal tremendous amounts of data about themselves and thereby transform the ability of advertisers to target them with messages. At the same time Facebook's privacy practices will be subject to FTC scrutiny for the next 20 years, European regulators are focusing increasing attention on the same issues, and some privacy-related lawsuits are proceeding. Kang (2012) notes the FTC settlement and increased government scrutiny of online privacy practices may benefit Facebook and other large SNS by discouraging new competitors from entering the market.

In late 2011, Facebook announced a major change that will be considered in light of escalating privacy concerns. Facebook Timeline is a feature that will convert a member's Facebook history into a biographical timeline with the most recent material at the top. Facebook started rolling out Timeline to all users in early 2012 and the change is not optional. Users will be encouraged to remove or hide content from the timeline during the first seven days following its creation. Initial concerns have been raised regarding the fact that the existing presentation of a member on Facebook focuses on recent events and activities. Members who started with Facebook in high school or college have matured and may have even forgotten about photos and other content from the past that might embarrass them now. Timeline will make all of this more easily accessible to current friends and colleagues. On February 29, 2012, Facebook announced that it would be converting the Facebook accounts of its business members to Timeline as well (Bond, 2011; Moscaritolo, 2012).

The size of Facebook and its integration with other organizations, combined with the increasing sophistication of its ability to target advertising, bode well for its future. The February 1, 2012 SEC filing details a comprehensive list of potential risks or obstacles to success in the future. Certainly increased scrutiny by governments and regulations, combined with expected continued litigation, are causes for concern. Facebook, having grown so rapidly, faces a flattening growth curve

so revenue growth will require new approaches to advertising and the expansion of revenue from payments. Changes in advertising and other practices can anger or alienate members causing them to lose interest or even leave Facebook (new competitors are always a possibility). Facebook users increasingly access the network from mobile devices and the planned expansion of the Facebook Timeline to business members' accounts may inundate mobiles with frequent ads from every entity that they have ever "liked."

Conclusion

The chief difficulty experienced in writing this chapter is the fact that social media firms are quite young. Historical records are fragmentary as a great deal of important information is proprietary and will likely not be available to the public for many more years. Nonetheless, the histories of social media firms, to date, reveal several common themes. First, social networking websites have become highly integrated as content is shared across multiple platforms and audiences (members) are increasingly interconnected. This practice stands in stark contrast to practices of legacy media that maintained tight control over access to their content and audiences. Even in the Internet era, early online media sought to hold web users within so-called "walled gardens."

Second, the migration of social media content to mobile devices will accelerate as mobile devices (smart phones and tablets) become the web platform of choice. Third, as social media firms become more sophisticated in their efforts to gather user data and develop algorithms to precisely target ads, it will be increasingly difficult for consumers to guard their online privacy. At the same time the privacy issues already raised with respect to Facebook have made it rather clear that governments and regulators are ill-prepared to deal with abuses of an increasingly social web. More litigation will ensue and regulators and lawmakers will be spurred to action both in the U.S. and in other countries. These actions have the potential to change the course of social media industries but in countries like the U.S., government regulation appears to be unpopular and characterized as "anti-business." Large and powerful companies like Facebook and Google have significant financial resources with which to counter legal and regulatory threats. Further, social media have become well-integrated into the political process and are likely to come to enjoy a privileged position with respect to politicians and political organizations.

The roll-out of social media over the past decade has been impressive and new variants will continue to emerge. The relatively short history of social media shows that some did succeed for a time and then declined and were forced to change their business models. While it may seem unlikely that a new firm can supplant the present-day giants covered in this chapter, the better lesson from history is that no firm or industry is immune from decline and change.

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5

SOCIAL MEDIA MARKETING

Paige Miller

Marketing Social Media

Social media are the latest Internet sensations to capture the interest of millions of people. They join personal computers, the Internet, websites, email, cell phones and portable music players on the list of disruptive technologies that have changed the way people live, work and communicate.

The number of people using social media in 2011 is staggering in comparison to users of other communication media. Some 800 million people use Facebook (Facebook, 2011), 200 million use Twitter (Shiels, 2011), and 135 million use LinkedIn (LinkedIn, 2011). YouTube streams over 10 billion videos a month (NielsenWire, 2011).

With such large audiences readily available, social media rival television, radio, magazines and newspapers as powerful channels of communication. Marketing professionals realize this, and many are carving out a role for social media in their marketing plans.

Social media sites are rapidly proving their abilities to sell products, provide insights into customers' needs, nurture sales leads, improve search engine rankings and build long-term relationships with prospects and customers. As a result, marketers expect the role of social media in marketing to continue to increase for the near future.

Social Media Defined

The term social media differs in meaning from profession to profession. To a computer programmer, social media are Web 2.0 applications, applications written after 2005 when the focus of computer programming shifted from providing websites for static information to making the Internet more usable by non-programmers (Singel, 2005). No one set out to develop social media. Rather, social media applications resulted from new programming capabilities that gave people new ways of communicating.

To website developers, social media applications let users create, tag and share content spontaneously without programmer intervention. Communications can

be verbal, graphic or text-based and can be displayed on a wide range of digital devices.

To a marketing professional, social media (new media or interactive media, as some call it) are ways of communicating with people online. Marketers often extend the term to include earlier forms of two-way Internet communications, such as email, e-newsletters, web-based presentations (webinars) and instant messaging.

A social media application can be any of the following: (1) a website, like Facebook, (2) an application embedded in a website, such as a news site that permits commenting on news items, or (3) an applet or widget that resides on a mobile phone or tablet, like the Angry Birds® game.¹ While Facebook, Twitter, LinkedIn and YouTube are the top four social media tools (Alexa, n.d.), dozens of other sites exist in the U.S. and around the world (Traffikd, n.d.).

Social Media Marketing Advantages

Social media changed marketing more between 2005 and today than marketing changed between the 1950s (when television became a mainstream medium) and the start of the 21st Century (Meeker, 2011). Social media is ushering in a new era of marketing with new ways of reaching people, different venues for presenting information, and more opportunities to send the right message to the right person at the right time. Foremost among social media advantages are:

- *Numerous channels and functions.* Social media provide an overwhelming array of channels and an ever-growing set of activities. From a marketing perspective, social media activities fall into the following categories:
 - *Networking*, where company representatives build relationships with future prospects (or suspects), share industry insights and present product information. Networking sites enable companies to hear customers' ideas, insights and experiences, along with questions, complaints and suggestions. Nearly 1.5 million businesses have Facebook pages (SocialBakers, n.d.), with the two largest fan-based pages reported to be Coca-Cola, with 29 million fans, and Disney, with 24 million fans (Facebook, n.d.).
 - *Information sharing*, where marketing or sales people exchange content and information with customers and prospects via text, presentations, videos, slide shows and collaboration. The most notable services are WebEx for webinars, Vimeo for videos, SlideShare for slide shows and presentations, Huddle and Adobe Connect for real-time collaboration using video, text and voice simultaneously.

Information sharing also includes commenting on e-zines (online magazines) and clicking icons (like Twitter's retweet icon, Facebook's "Like" icon or Del.icio.us's bookmark icon) to share a webpage with other people. These expand the awareness of a brand without additional

cost to the company and, for better or worse, without control or censorship by the company.

- *Viral communication*, where content is quickly emailed from person to person to spread the word. Blendtec, an appliance company, gained national recognition when its video, Will It Blend?, in which an iPhone is chewed to pieces in a Blendtec blender, went viral (Borges, 2008).
- *Commenting and reporting*, where company marketers and subject-matter experts blog (write online Web logs) about topics of interest to customers and prospects. An estimated 39% of all companies use blogs to call attention to a product, present views on industry activities and trends, and solicit prospects' and customers' views (eMarketer). Chris Brogan, Seth Godin and Guy Kawasaki are top bloggers in marketing, and Mashable, which started as a site for social media updates, now covers technology, business and general news and is the second-most-followed blog on the Internet (Technorati, n.d.).
- *Polling and surveying*, where marketers use a poll on a website, within a newsletter, or in email to solicit opinions of customers and prospects. Polls provide quick and valuable insights to marketers. In a sense, Twitter is a polling channel. Its hashtag-designated keywords (like #iPhone4s), let large numbers of people comment on a topic. While it is not a scientific measure, like a man-on-the-street poll, it indicates the scope and depth of opinions on a topic. Survey Crafter and StatPac are two sophisticated survey research applications, while Zoomerang and Survey Monkey offer economical means of conducting opinion polls and inquiries.
- *Rating and reviewing*, where people vote, rank, review, rate or assign a level of satisfaction to an idea, person or product. Sites like Yelp, Citysearch and TripAdvisor store ratings and comments on a wide range of businesses. People rate everything from companies to colleges, apartment buildings, movies, cars and computers online. Marketers follow rating sites to see how their company and its products are faring in the uncensored arena of public opinion, and they work diligently to defuse or push down negative comments.
- *Gathering*, where people meet for social interaction, as when a business uses Twitter to invite people to its grand opening. In 2009, Mashable held meet-ups in many U.S. cities to gather social media marketers together. By 2011, some 1500 Mashable communities, with 27,000 members across the U.S. met every two weeks (Mashable, n.d.).
- *Checking-in*, where a business encourages people to tell their friends they are patronizing the business. Marketers use check-in applications, like Foursquare, to build customer loyalty. Retail stores and, especially, restaurants use check-in services to offer coupons or other rewards to their most frequent customers, while brands use it judiciously to post messages to their followers.

- *Mobilizing*, where a business organizes people to act individually or as a group. While Twitter is famous for supporting political dissidents during the Arab Spring of 2011, marketers use it like a public address system to direct attendees to conference sessions and as a bulletin board where attendees post comments about sessions (Bruff, 2011). Similarly, small business owners use it as a private radio station to broadcast the location of their mobile businesses, as when a cupcake truck or sandwich cart announces it is outside an office building.
- *Crowd-sourcing*, where a business solicits input and answers by tapping the collective wisdom of disparate people. Marketers can conduct crowd-sourcing exercises on any social media site or can set up a wiki webpage, a Hawaiian word for fast, to let a group of people collaborate on a project. Wikipedia is a crowd-sourced encyclopedia, and Ning, SocialGo and Boonex are examples of sites that host wikis. Bookmarking sites, such as Digg, Del.icio.us, and Reddit use crowd-sourcing to determine the most popular news items each day.
- *Group deals*, where a business offers a discount to a group of people if a certain number of purchases are made. Businesses use the services of Groupon and LivingSocial among others, to distribute their offers regionally or nationally. Through LivingSocial, Whole Foods offered a \$20 coupon for \$10 to acquire new customers. They sold one million coupons (LivingSocial, n.d.).
- *Entertaining*, where a business provides a game, widget or application that entertains the prospects in some way and helps keep the business's name top-of-mind. Second Life, a virtual-world networking site, lets businesses build virtual stores to advertise their products, as Bank of America does. Facebook enables friends to send friends virtual gifts, like a Budweiser beer, and solicit virtual livestock for their Farmville farms.

Social media provides many more channels for engaging prospects and customers than do traditional media, which is precipitating major changes in marketing. However, other social media attributes also are disrupting traditional marketing strategies, plans and activities, including:

- *Relationship building*. As prospects and customers interact with company spokespersons, they witness the expertise, experience and professionalism of a company and gain confidence in the company's ability to deliver. As a result, a relationship forms. In time, a certain percentage of these relationships turn into sales. It is marketing's job to determine if that percentage is acceptable or whether other media—social or traditional—could garner more sales.
- *Earned exposure*. As relationships and trust build, customers often relay their positive experiences to their colleagues via social media sites for reviews and ratings. Marketers call this type of unrequested endorsement earned exposure.

Like word-of-mouth endorsements, earned exposure is harder to obtain and, thus, marketers believe it to be more effective than paid exposure, such as advertising and direct mail, and owned exposure, such as the company's website or Facebook page.

- *Authentic insight.* Social media sites offer exceptionally valuable input because of the authentic comments they elicit from the public. On most sites, all are welcome to join the conversation, discussions are free flowing and uncensored, and participants are mostly anonymous (a person's email address is known, but not his or her name or home address). These attributes encourage a more inclusive group of participants than might be available for face-to-face conversations, focus groups, or surveys. They also encourage truthfulness and, often, brutal honesty. The diverse personalities, experience, behaviors and thoughts of the participants provide an endless stream of fresh insights for marketers.
- *Search engine visibility.* Blog entries, posts on social media sites, tweets, and comments on news items add value to a company's website. Search engines, like Google, Bing, and Yahoo, include social media interactions in their algorithms for ranking websites. Over time, social media raise the ranking of a website and the value of the company's brand, or goodwill, as an accountant would label it if the company were for sale.
- *Cost savings.* Social media activity is not free. Social media require significant time to develop a strategy, create and monitor content, engage prospects and clients, measure results, and adjust tactics. Nevertheless, in comparison to traditional media such as TV, radio, newspapers, magazines, and billboards, social media is a fraction of the cost. In a few hours a day, a marketing person can build a substantial presence on the Web.
- *Trackable results.* Quick feedback and trackable results are potent attributes of social media. Social media provide the data that marketers need to fine-tune their programs. Historically, companies have paid fees to monitoring services, like Nielsen, for TV viewership data and membership dues to auditing organizations, like Audit Bureau of Circulations, for magazine circulation data. Google Analytics provides data about website traffic for free.

Cookies, small files automatically downloaded to the computers of website visitors, enable marketers to follow the path of people across corporate websites and social media sites. Web analytic applications, like Google Analytics, capture the behavior of visitors on the site, that is, the pages viewed, the page where the viewer abandoned the site, the amount of time the viewer spent on the site, and often the website referring the visitor, among other details. Some applications combine that behavior data with the social media information provided by visitors themselves on their Facebook page or other social media site (Gartner, 2011). With these rich behavioral and demographic descriptions of visitors, marketers construct buyer personas and develop marketing campaigns targeted at each type of persona.

Companies with low social media activity and few followers can track prospects manually using spreadsheets and free tools, like Google Analytics. Other tools let marketers track comments and trends, like Google Discussion, Google Alerts, Twitter's own tracking feature, TweetDeck, Twilert, HootSuite, Pulse of the Tweeter, Trendrr, and MentionMap, among many others.

However, companies with active social media programs require automation that is more robust. Social customer relationship management systems (Social CRM or sCRM, as they are called) track social media activities automatically. Major software applications include IBM's Coremetrics, GoogleTM Analytics Premium and Adobe's[®] Omniture[®]. Other vendors are making names for themselves, including Salesforce.com with Chatter[®] (formerly Radian6[®]) and, for smaller companies, HubSpot, Nimble, Eloqua and Marketo.

Social CRM is an emerging area, but the number of activities it tracks is already impressive. Capabilities include:

- Capturing customers' social media profiles.
- Capturing customers' interactions (i.e., history of relevant posts, tweets, check-ins, etc.).
- Scheduling the posting of messages to different social media sites.
- Managing email campaigns.
- Ranking fans and followers by influence and clout (based on an undisclosed algorithm created by the vendor).
- Listening to online comments across the Web (actually, capturing them) and evaluating their sentiments (positive and negative).
- Reminding Marketing or Sales to contact a prospect (e.g., end of trial usage).
- Analyzing website behaviors, referring sites, visitor statistics and interactions with fans and followers.
- Scoring leads.
- Sending leads to a sales management system.
- Providing closed-loop reporting and analysis, which combines social media, marketing and sales contact with a prospect with the revenue generated by that prospect to provide a fuller understanding of the time, intensity and cost of a sale.

No product supports everything, and different vendors support different functions at different levels of sophistication. Consequently, it is sometimes necessary to use multiple applications to cover all the functions.

Social Media Marketing Requirements

In return for multiple marketing channels, engagement, authentic insight, cost savings, trackable results and closed-loop reporting, prospects and customers expect a few things in return. Here are a few examples:

- *Content.* Compelling content attracts and retains prospects and cultivates them into customers. Prospects require a consistent stream of information, whether on a daily, weekly or monthly frequency, to keep them returning to a site.
- *Conversation.* The basis of social media is informal conversation. Prospects want to be involved in a dialogue, not subjected to a stream of sales pitches. Even when no back-and-forth conversation is taking place, a company's posts need to sound like human speech.
- *Integrity.* If a company is to earn the trust and respect of prospects, it must act with the highest level of integrity. Prospects quickly and loudly denounce marketing hype, falsehoods and deceptive statements online and often cause a firestorm of consequences. The old saying "all publicity is good publicity, even bad publicity" no longer works. Bad publicity can hurt a company badly on the Web. Just ask Netflix, which lost 800,000 customers in 2011 as word of its 100% price hike spread across the Web (Gilbert, 2011).
- *Unfettered discussion.* A company cannot control the online comments or discussion about its products, employees and practices. Rather, it must earn the respect of its prospects and customers and trust them to ferret out the truth in a disgruntled comment and to counter false claims with positive information.
- *Performance.* Social media make it difficult for companies to hoist inferior products onto unsuspecting buyers. The saying "there's a sucker born every day" loses traction in a world where customers can announce a product's deficiencies online in product reviews and rating.

Social Media Impact on the Selling Process

To understand the significance of the impact of social media on marketing and selling of products today, a marketer needs an understanding of the sales cycle used over the past half century. Figure 5.1 presents a brief overview of the traditional sales process.

The Traditional Selling Process

The following presents a general overview of the steps involved in traditional business-to-business selling (B2B). While retail selling is familiar to all of us as consumers, B2B selling is often a longer sales process, involving more people, more specific requirements, a longer decision-making cycle and strenuous negotiations. The process begins in the marketing department.

- 1 *Generate leads.* Prior to selling, the Marketing department develops sales collaterals, ads, public relations and promotional materials; buys media time and/or space to advertise the product, and executes marketing activities such as telemarketing, trade shows, direct mail campaigns and print, TV and radio

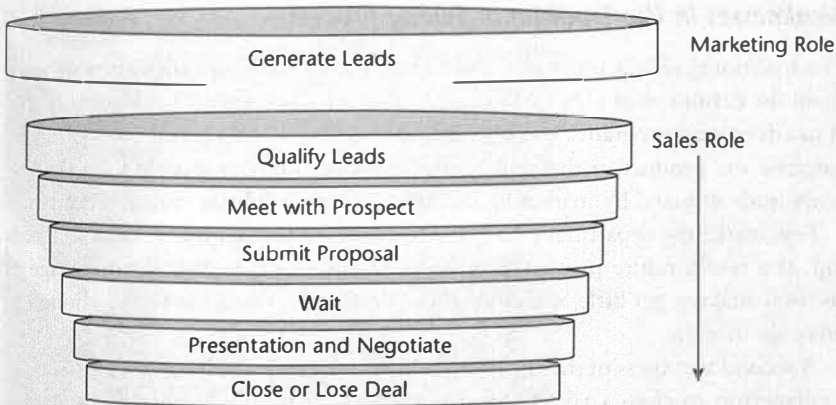


FIGURE 5.1 The traditional sales process

advertising. Marketers call the people responding to marketing materials leads, which they send to the sales department for follow-up.

- 2 *Qualify leads.* Salespeople contact the leads and, if the level of interest is adequate, they schedule an appointment with the prospect. They prepare for the meeting by setting objectives and by learning as much as possible about a prospect.
- 3 *Meet with prospect.* During the initial meeting, the salesperson learns more about the prospect's needs and identifies the ultimate decision-maker, the time frame, the budget and the decision-making process. He or she also works to pique the prospect's interest, build the prospect's confidence in the product and company, and move the prospect toward action. The salesperson may need several meetings to understand the prospect's needs fully.
- 4 *Submit proposal.* The salesperson prepares a proposal outlining the services recommended for the prospect. For very large purchases, prospects often require the salesperson to respond to a request for proposal (RFP), which lists questions about the product and the company. The salesperson may include a pricing quote or may submit it later in a face-to-face meeting.
- 5 *Wait.* Typically, the salesperson waits while the prospect reviews proposals (or RFPs) from all the vendors under consideration.
- 6 *Present information and negotiate.* The prospect invites the vendors of the two or three best-fitting products to compete for the business. Each salesperson presents company credentials, product information, product benefits, features, advantages, auxiliary services and pricing scenarios. The prospect negotiates with all the vendors before selecting a product.
- 7 *Win or lose the deal.* The prospect notifies the salesperson of the winning vendor. Salespeople for the losing vendors usually request feedback about the winning product and the reason(s) their products lost. The salespeople share the feedback with their sales colleagues and with the marketing department to gain insights to improve future outcomes.

Weaknesses in the Traditional Selling Process

The traditional selling process is weak in that marketing and sales often disagree about the definition of a lead. Marketers define a lead as anyone responding to one of its advertising programs, while salespeople define a lead as someone looking to purchase the product in the near term. Consequently, salespeople have shelved many leads attracted by marketing because they are soft leads, not sales-ready.

Few marketing departments have the resources or programs to nurture soft leads and, as a result, future prospects in the planning, research or budgeting stage of decision-making get little attention from salespeople, often less than a phone call every six months.

A second weakness of the traditional selling process is the length of time it takes a salesperson to close a sale. Often the salesperson must educate and cultivate a prospect for a long period before he or she makes (or loses) a sale. The longer a sale takes, the more expensive it is and the more salespeople it takes to meet a company's revenue goals.

The traditional sales cycle will continue to exist for many years to come, especially for expensive and complicated products. However, social media now play a significant role in the marketing and selling of more and more products and, as a result, they are changing the process.

The New Sales Process Using Social Media

The marketing and sales process is changing primarily because of three factors. First, new technologies give prospects the ability to block or ignore marketing messages. For example, cell phones and caller ID thwart telemarketing calls; DVDs thwart TV commercials; Internet, satellite radio and iPods® thwart radio advertising; news websites thwart newspaper advertising; spam filters thwart email, and direct mail often does not make it past the wastebasket.

Second, prospects use the Internet to find vendors, identify products, vet solutions and compare prices before ever contacting a company's sales representative to discuss their needs. This process is especially prominent in retail, or business-to-consumer (B2C) selling, but it is also becoming more usual in manufacturing, technology and other industries that sell wholesale, or business-to-business (B2B).

Finally, Google, Bing and Yahoo drive prospects to the sites where the highest ranked content resides. Those sites could be social media sites (often blogs) just as easily as websites. As a result, social media sites play an important role in improving a company's search engine ranking.

A new selling process is evolving because of these trends. The new process makes use of social media as a means of attracting and nurturing prospects until they are sales-ready. In effect, the new process elongates the marketing period and, sometimes, shortens the selling steps. Often, the cost of the social media tools is more than offset by a decrease in sales time and travel. Figure 5.2 illustrates the basic steps, and the following outlines the steps in more detail.

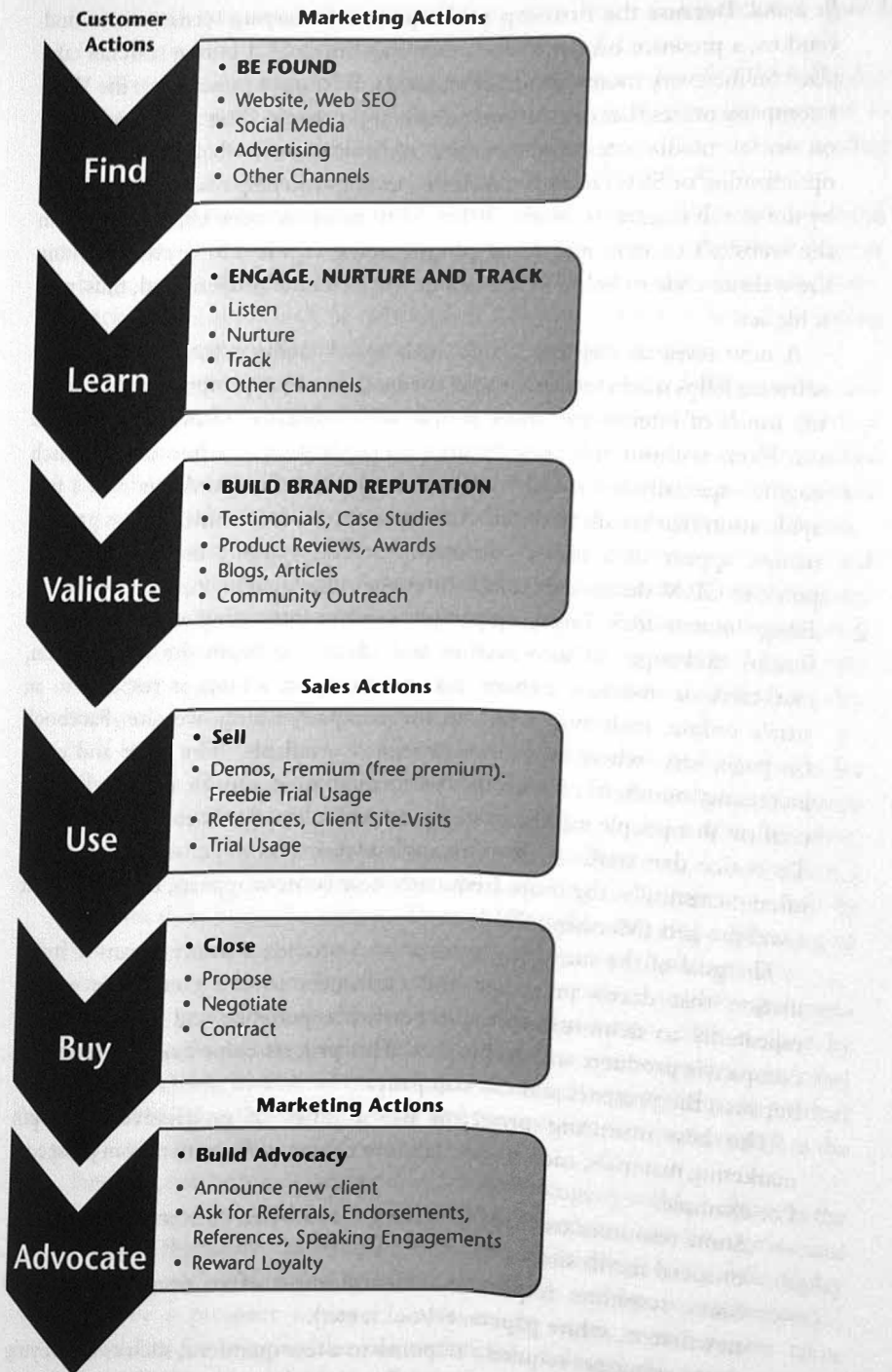


FIGURE 5.2 The news sales process

- 1 *Be found.* Because the first step in the prospect's buying scenario is to find vendors, a presence on the Web is essential. Some 17.1 billion searches take place online every month (comScore, 2011). Without a presence on the Web, a company misses that continuous parade of prospects. Blog items, comments on social media sites and website optimization (called search engine optimization or SEO) improve website rankings and help companies be found by the search engines (Google, 2010). SEO involves embedding keywords in the website's content and using programming tags to add keywords within the website code to help Google categorize a website properly and, thus, rank it higher.

A new research step associated with social media is listening. Listening software helps marketers find social media sites where prospects gather, identify topics of interest and meet people with influence. However, marketers can listen without special software. SocialMention is a free online search engine especially for social media research, and Google Alerts™ is a free application that emails the marketer when certain keywords, such as product names, appear in a social comment. Several vendors mentioned in the previous CRM discussion include listening modules in their product offerings.

- 2 *Engage/nurture/track.* Engaging prospects means interacting with customers in fruitful exchanges of information and ideas. To begin the conversation, marketers or in-house experts ask questions on a blog or respond to an article online, including a link to the company's blog, website, Facebook fan page, etc., where more information is available. The huge and ever-increasing numbers of searches performed each month on the Internet confirm that people interested in a product look to the Web to find vendors. To entice that traffic to a company's website, new content must appear often. Statistically, the more frequently new content appears, the more traffic a website gets (Mershon, 2011).

The goal of the nurturing process is to provide a steady stream of information that draws prospects and customers to the company's website repeatedly to demonstrate the expertise, experience and integrity of the company's products and employees. This process helps build a relationship between the prospect and the company.

The best nurturing programs use a series of progressively in-depth marketing materials, each requiring more contact information from prospects. For example:

- Some resources are free (brochures, case studies, conversations on forum or social media sites).
- Some resources require the identification of an email address (e.g., newsletters, white papers, e-books, etc.).
- Some resources require a response to a few questions, such as the buying timeframe or most pressing need (e.g., trial usage, webinars, virtual trade show, survey results).

- Some resources require attendance at an event and interaction with a salesperson (e.g., training session, customized demo).

MetaVis Technologies, a utility software company based in Philadelphia, relies exclusively on the above tactics. In three years, this start-up grew to 700 clients, 26 employees and over \$5 million in annual revenues, according to Peter Senescu, president (pers. comm., November 18, 2011).

Nurturing materials refer the prospect to the company's dominant social media site (usually the company's website but sometimes a Facebook page or blog), where the prospect reads, compares, questions and, ultimately, buys. Social media apps, such as online chat, a forum, a blog, videos and sharing icons, make communicating with prospects and selling easier.

Nurturing also enables marketers to continually interact with prospects and stay at the forefront of emerging trends, needs, concerns, problems, product advantages and use cases (case studies). In effect, social media enables marketing and sales departments to validate their understandings of the market and agree on the best messaging to use in collaterals and sales presentations.

A lead nurturing program is incomplete without some way to capture and track prospects' interactions. A history of prospects' interactions with company employees makes it easy to score and qualify leads. With that information—whether collected manually or by an sCRM system—the marketing and sales departments, jointly, can determine the number or types of interactions that distinguish a sales-ready lead.

- 3 *Build brand reputation.* Most prospects search and review many websites for information about a vendor before buying. Thus, online reputation management is an important, though relatively new, marketing function. Marketers use the same listening software to monitor the company's reputation as they use to find audiences. Listening for comments made by others on their blogs, Facebook, Twitter, Tumblr, etc., and responding to those comments are important components of reputation management.

In addition to monitoring the company's reputation, marketing departments must proactively build the company's reputation. This is done by building positive offsite (meaning sites other than the company's website) information using traditional marketing tactics, such as press releases, product reviews, articles in trade publications and community outreach, as well as the social media capabilities listed previously.

Similarly, marketing departments ensure the company website advances the company's reputation through testimonials, customer success stories and information that shows the company's thought leadership (i.e., a public display of the company's understanding of industry trends and future innovations).

- 4 *Sell.* Once a prospect achieves a sales-ready score, a salesperson takes responsibility for bringing the sale to fruition. Salespeople, too, use social media, such as webinars, online collaboration and, increasingly, trial usage or free usage of the product, to engage the prospect.

Because of the nurturing program, a prospect has answers to basic questions and a great deal of information about the product. Logically, fewer sales obstacles should arise during the selling process, which lets the salesperson focus on orchestrating in-depth meetings between the prospect and in-house experts, providing customer references, arranging prospect visits with “show-case clients,” and negotiating the pricing package. If that is not the case, sales and marketing need to determine why. Perhaps, the lead-scoring algorithm may be inadequate or the prospect may need different information or a different level of information.

- 5 *Close.* The salesperson is responsible for preparing the final proposal for the client and negotiating the final price and contract terms. For large complex products where negotiations may take months, a specialist may handle the final negotiations to free the salesperson to pursue the next sales opportunity.
- 6 *Build advocacy.* Once a prospect becomes a client, the marketing department steps in again to grow that customer into an advocate—someone who recommends or endorses the product through word of mouth among his or her colleagues. A press release, an announcement on the company website and a mention in a customer newsletter are the first steps in cultivating the client. For large or highly competitive sales, a celebration dinner may take place. Over time, marketing can invite the customer to be a guest blogger, the subject of a case study, a presenter at a conference, or recipient of special discounts to further the relationship.

To summarize, social media expands the role of the marketing department by providing tools to nurture prospects toward sales-readiness. The nurturing process enables the prospect to gain confidence in the company, its product and its employees. It also helps align the perspectives and working relationship between marketing and sales, and helps marketers to maintain close relationships with potential buyers, which keeps their understanding of the market, buying criteria and value proposition fresh, rich and on target.

Social Media Success Stories

The revised sales process did not spring into being when Facebook opened to the public in 2005. Instead, it evolved over time as experiences and stories of successful social media activities took place. Not surprisingly, marketers learned about social media by using it themselves. The following social media success stories are legendary:

- *Kiva.* In 2005, Kiva, a non-profit organization that enables people to provide micro-loans to fledgling entrepreneurs in developing countries, was mentioned by founder Chris Kulczycki in his diary on Daily Kos, an online activist

community. To date, over 600,000 people have loaned \$248 million to over 600,000 entrepreneurs (Kiva, n.d.).

- *Blendtec*. Blendtec, a relatively unknown maker of food blenders since 1975, gained a five-fold increase in sales in 2006 as the result of a low cost YouTube video that asked, "I love my iPhone, but will it blend?" In five days, six million people watched it (Mashable, 2008).
- *Dell*. In 2008, Dell announced they had received \$1 million in sales during the previous 18 months through Twitter. Today Dell runs multiple Twitter sites and multiple Facebook pages, including one devoted exclusively to using social media for marketing (Mashable, 2009).
- *HubSpot*. Co-founders Brian Halligan and Dharmesh Shah started HubSpot, an inbound marketing software company, after they realized Shah's blog garnered more attention than the advertising of many well-capitalized, larger companies. Using their own software to support their social media activities, HubSpot grew to \$15.6 million with 3500 small business customers in 34 countries in three years (Inc. 500, 2011). The Inbound Marketing University they started is an excellent source of social media classes, information and case studies.
- *Starbucks*. Starbucks' extensive use of social media resulted in a #1 rating in online engagement, #1 on Facebook with 25 million fans, and recognition as the most tweeted brand on Twitter during much of 2010 (Digital Buzz, 2010).
- *EMC Corporation*. EMC, an information technology services provider, began its social media program in 2007 when Chuck Hollis, Global Marketing CTO, started building an online community where prospects and clients could share ideas about housing, indexing, sharing, protecting and managing documents. For two years, Hollis blogged about his journey on Chucksblog.emc.com, providing a real-life view of social media marketing. Now EMC has 15,000 registered users across the 160 communities they operate. Each month their social media sites draw 27,000 unique visitors and 4.6 million page views (Pappas, 2010).²

Social Media Results

In December 2010, a survey by McKinsey & Company, a management consulting firm, of 3249 executives from a mix of industries, regions and functional specialties showed 69% of the surveyed companies gained measureable benefits from the use of social media with their customers and business partners (i.e., re-sellers, distributors, suppliers, etc.) (McKinsey Quarterly A, 2010). As Table 5.1 shows, the marketers believed costs decreased and revenues increased because of social media usage.

TABLE 5.1 Improvements in partner and customer relationship using social media

Category	Average Improvement with partners	Average Improvement with customers
Decreased communications costs	15	45
Decreased product development costs	15	
Increased speed of access to experts	25	
Increased partner/customer satisfaction	20	50
Increased speed to access knowledge	20	
Increased innovations	15	24
Increasing revenues	11	24
Increasing effectiveness of marketing		63
Reduced supply chain costs	10	
Reduced time-to-market	15	15
Reduced travel cost	20	29
Reduced customer support costs		35

Social Media Impact on Market Budgets

Social media are forcing marketing allocations to change. In June 2010, MarketingSherpa, an industry analysis firm, surveyed 935 marketers to determine the budget allocation, on average, for various marketing channels (Marketing Sherpa A, 2012). As Figure 5.3 shows, tradeshow are the only traditional medium increasing in budget. Predictably, tradeshow hold the top spot because of the high cost of such shows and because they are rebounding from severe budget cuts over the last few years.

Similarly, the December 2010 McKinsey & Company study mentioned previously reported 63% of respondents expect to increase their Web 2.0 budgets

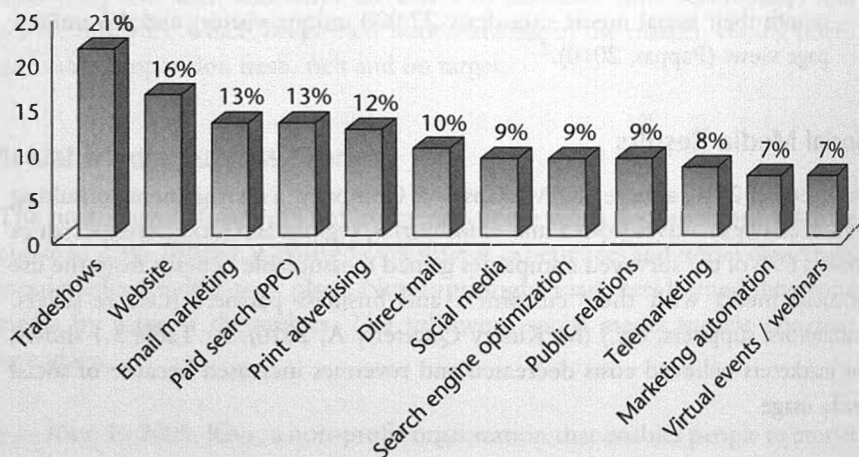


FIGURE 5.3 Average B2B budget allocations

between 2011 and 2014. Finally, a February 2011 survey of over 400 chief marketing officers by Duke University's Fuqua School of Business projected social media spending to grow from 7.1% of the total marketing budget in 2011 to 10.1% in 2012, with projections of 17.5% by 2017 (Moorman, 2011).

Additional evidence of the growing importance of social media comes from Distribion, a marketing software company, which asked 190 marketing managers in June 2011, "Do you expect your budget for the following marketing communications channels to remain the same, increase, or decrease in 2012?" Figure 5.4 shows the averages for each category. Some 55% of the marketers expect to increase mobile communications (i.e., downloaded social media programs) and social media. Conversely, 40% of the marketers expect to see direct mail and printing to experience serious decreases in budget. The results were consistent across the B2B and B2C companies and across large and small to mid-sized companies (Distribion, 2011).

Social Media Return on Investment

Even as social media take a larger role in marketing, they must continue to prove their worth. Because so many variables play into a successful sale, identifying the marketing or sales activities that drive a sale is difficult. However, identifying the channels that foster the most sales is necessary to optimize the marketing budget.

One way to determine the value of a marketing channel is to compare the yearly sales forecast with actual sales for the year. The sales forecast is based on the salespeople's expectations that prospects in the pipeline (prospects already contacted by a salesperson) will buy within the next 12 months. If sales occurred

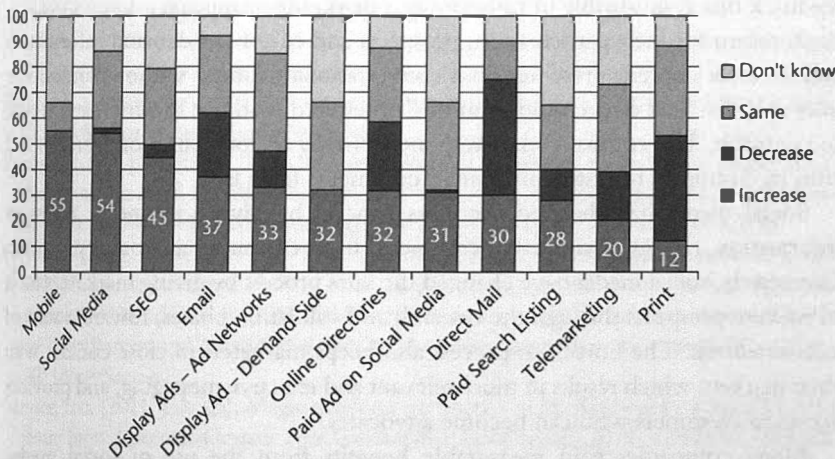


FIGURE 5.4 Expected marketing budget allocation increases for 2012 (by percentage per channel)

that were not forecast, it is reasonable to assume marketing played a role, and the marketing department should trace the interactions with those customers to see when and where they entered the sales funnel. This analysis is easier if an sCRM or CRM system exists. Often, the analysis does not result in definitive, clear-cut answers because customers used multiple channels to find, research, review or buy a product.

Many marketers are leery of changing the marketing mix for fear of damaging what worked in the past. To compensate, some allocate a percentage of their budgets for experimentation to see which new channel shows promise, while others ignore new channels until the channel is proven by others in the industry.

Marketers in some billion dollar companies have access to modeling software to forecast the results of different allocations based on customer behaviors. Marketing mix modeling software, pioneered in the 1990s, is evolving to include social media channels, enabling marketers to run what-if scenarios against huge databases of consumer behavior and buying habits data (Forrester, 2011). Software by MarketShare, Marketing Management Analytics, and ThinkVine earned the highest rating from Forrester.

Conclusion

Social media are exciting new marketing channels deserving serious experimentation and analysis for integration into marketing programs. They provide hundreds of channels for networking and building relationships with prospects, earning their accolades and recommendations, and obtaining their insights. Furthermore, they are easy to use and lower in cost than most traditional media. Finally, social media posts and comments improve search engine rankings, which can drive more traffic to a company's website and provide quick, measurable feedback that is invaluable in fine-tuning a marketing campaign.

In return for their participation, prospects and customers demand informative and accurate content presented in a conversational manner without underlying sales motives. The conversation must be unfettered, without the company trying to control it. The company must respond honestly to complaints or criticism and trust its customers to distinguish unfair comments from fact.

Social media has changed the sales process by giving prospects access to information, ratings, reviews and comments from customers and other prospects. Conversely, social media have changed the sales process by giving marketers tools to nurture prospects through the research and validation phases, toward a state of sales-readiness. The nurturing process also keeps marketers in close contact with their markets, which results in more relevant and effective messaging, and provides access to customers who can become advocates.

Many companies gain measurable benefits from the use of social media. Consequently, marketing budgets are changing to allocate more money to social media channels. Marketers must determine which social media channels work best

for their particular industry, company and product, since solid research and data are scarce. Subsequently, they must refine their budgets to promote the channels that offer the best return on investment.

Notes

- 1 Angry Birds is a trademark of Rovio Mobile Ltd.
- 2 For more case studies, visit A Wiki of Social Media Marketing Examples at <http://wiki.beingpeterkim.com>, and *BtoB Magazine's* 2011 B2B Social Media Winners at <http://socialmediab2b.com/2011/04/b2b-social-media-winners/#ixzz1dw3qg9bw>.

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6

SOCIAL MEDIA CONTENT

Daniel Schackman

Introduction

This chapter investigates how social media offers content (traditional media content as well as professional and user-generated content produced for the Web) to ever more segmented audiences who are also acting as gatekeepers by curating and aggregating the content that they consume.

Media content has always been social. Radio and television shows, movies, and recorded music have brought people together, sharing common values, and have sparked debate as audiences try to discern their meaning and relate to them as expressions of their own lives or see in them what they aspire to be. In the 20th Century, mainstream media industries broadcast content to a wide cross-section of the American population who engaged in national conversations, actively participating in decoding the content (Hall, 1973) together as a shared experience. In the 1950s, the exploits of Lucy were shared by over 50% of the viewing public watching on CBS on Monday nights at 8:00 PM, to be recounted the next day around kitchen tables and office watercoolers. In the 1970s, *All in the Family* brought controversial issues into television viewers' homes, igniting or fanning the flames of intense debate on major social, cultural, and political themes. The increased diffusion of cable television in the 1980s and 1990s brought new specialized television networks, with increasing segmentation and fragmentation of content consumption. The arrival of VCRs in the 1970s, personal computers in the 1980s, and the World Wide Web in the 1990s has catalyzed the consumption of content in even more specialized and individualized ways.

Busy families spent less time together watching or listening to content and talking about it as a shared experience. The image of a nuclear family gathered around the living room television set to watch *The Ed Sullivan Show* was replaced in the popular culture by an image of family members each on their own personal computers or other devices, in separate rooms or even in the same room, all consuming different content.

However, the early 21st Century has witnessed the exponential growth of Web 2.0 social media, allowing for virtual shared experiences of content. The Web has

facilitated global conversations about content that spread their reach to worldwide audiences. Now, the Internet has become the new watercooler, particularly around live events such as entertainment awards shows like the Golden Globes, sports competitions like the Super Bowl and Winter Olympics (Stelter, 2010), and reality competition series. Audiences participate in these conversations both in real time and with time delay. Media content producers and distributors are increasingly embracing and developing these communities of fans. CBS CEO Les Moonves said, "The Internet is our friend, not our enemy . . . People want to be attached to each other" (Stelter, 2010).

Moreover, some of the content is coming from the independent media sector and from non-professional media makers vying for audiences in open, collaborative, social media platforms that have disrupted the classic models of mass communications and have brought a new band of "prosumers"—producer-consumers of content (Bruns, 2008)—to the forefront as they not only engage in the active decoding of texts, but also encode texts that they create themselves, from *Star Trek* fan-produced Web series to YouTube videos of their cat playing the piano.

In the golden age of broadcasting, programmers acted as gatekeepers, pushing content through the distribution pipeline from producer to consumer, with limited opportunities for feedback or any other participation by listeners and viewers. Utilizing a linear distribution model, television and radio stations would provide limited right to reply segments on the air for audience members to express their opinions about the programming or news reporting. The newspaper industry followed a similar model, with letters to the editor published on the opinion-editorial pages, providing limited space for readers to share their opinions. In more recent decades, cable television and VCRs brought about a shift from appointment viewing to consumers having more control of their choices, no longer bound by the limitations of network program scheduling.

In the current media climate of digital content distributed online and viewed at all hours of the day on various media players and devices, the traditional linear communication model has given way to an interactive "prosumer" process in which consumers of content also act as producers of content in an ongoing feedback loop (Bruns, 2008). The content itself may be produced by traditional media industries, alternative and independent media makers, or non-professionals posting blogs, podcasts, or videos on their own websites or on content aggregation portals such as Wordpress, podcast Alley, or YouTube. The portals include feedback opportunities for consumers to respond, sometimes in the form of their own original creative content such as a video. Furthermore, social networking applications provide opportunities for professional and amateur content creators to distribute and exhibit their work, as well as the content of other media makers both legally and illegally. Beyond being prosumers, these applications are providing media content consumers the opportunity to take on gatekeeping functions.

Search engines, RSS feeds, content aggregators, crowdsourcing, and social networking have superseded the traditional role of media gatekeeping in the digital

age. YouTube channels, MySpace pages, Facebook fan sites, and independent websites contain embedded and linked content, often with recommendations. Sites such as YouTube, Netflix, and Amazon use data from individual users to push content that the sites think the consumer will like. YouTube invites viewers to comment on what they have watched in a global conversation, and to make their own video responses as well; numbers of views and comments are an indication of the appeal of the content. Facebook friends and Twitter users make recommendations of specific content, hoping to embellish their personal reputations when their friends thank them for the referral. StumbleUpon enables members to view random content, rate it, and have other “stumblers” access their viewed content pages.

In the following sections, we will consider the development of social media content by first looking back at the history of broadcast programming, how broadcasting evolved into narrowcasting, the role of gatekeepers, the origins of social media, how the Internet is now a primary outlet for content and distribution, and the role of broadcastcatching in this new environment.

A Brief History of Broadcast Programming

The concept of programming has its roots in the vaudeville circuits that had their heyday from the 1860s–1930s. These performance “wheels” sent out to theaters around the country a variety of different acts programmed on the bill, from comedians to singers to novelty acts. In the early days of radio, small-time radio operators competed with corporations that started or acquired local stations such as AT&T, GE, Westinghouse, and RCA. Some early operators viewed radio as a hobby, in which the owners had control over the content. Eventually the radio industry would develop into a more professional system. Stations began to affiliate with networks that emerged to link them together and create a national broadcasting system. The Radio Act of 1927 solidified the shift from independent operators to centralized control through the assignment of airwaves with terms favorable to larger companies based on their popularity and technological superiority.

Network radio, which appropriated a number of vaudeville performers to broadcast their own shows starting in the 1920s, adapted the vaudeville circuit format, offering various kinds of content to their listeners, developing schedules that fitted the needs of the audiences (for example, soap operas in the daytime for women working at home). In the Golden Age of Radio (late 1920s–1930s), programming genres included variety (a direct link to vaudeville), drama, mystery, westerns, comedy, music, sports and news.

After World War II, television broadcasting began in earnest, largely controlled by the radio network parent corporations NBC and CBS. Early TV was mostly produced in New York, and served Northeastern, wealthy, educated audiences who were the early adopters of this new technology. Most television was live, in

a studio, and cheap to produce—there would be no post-production editing, and few exterior shots where taping conditions were variable. Television was less like the movies, and more like live performances (highbrow and middlebrow). Variety series including *Texaco Star Theater* and *Your Show of Shows* were particularly popular with audiences of all ages, and continued to be well into the 1970s, with a revival in the reality competition format in the 2000s. By 1953, over 50% of American homes had a television set. By end of decade, that percentage had jumped to nearly 90%, and the medium was firmly established as the preeminent form of media in the U.S. As television sets became less expensive to mass produce and for consumers to buy, television content became even more popular and most of the programming was produced in movie studios in Los Angeles.

Broadcasting to Narrowcasting

The rapid growth of cable television in the 1970s would lead to the demise of network television's leadership position as a variety of new channels were introduced to audiences, creating strong interest and demand for adopting cable. Perhaps more than any other channel, the premium service Home Box Office (HBO) offered households a wide variety of movies, live sports, and comedy specials—and over the years added original award-winning content in the form of series (e.g., *The Sopranos*, *Sex in the City*).

HBO changed the way audiences watched media content. HBO paved the way for the development of the home video market, and influenced the introduction of pay-per-view (PPV) for movies and special events. With multiple broadcasts of movies and specials, HBO moved audiences away from the appointment television model demanded by network television. If you missed a movie, you could be sure it would be shown again later in the week.

But HBO was not the only channel that drove the growth of cable television. CNN offered 24-hour news. ESPN became an early leader for sports journalism. MTV and Nickelodeon appealed to younger audiences. These early innovations led to cable television networks more directly serving narrower, specific niche audiences, and today newer digital cable networks are allowing for even more segmentation. There are now over 550 cable or satellite television networks, according to the National Cable & Telecommunications Association (www.ncta.com).

It is important to recognize that cable and satellite content is not regulated by the Federal Communications Commission (FCC). In the 1979 *Midwest Video* case, the Supreme Court defined cable systems as electronic publishers, not common carriers. The result of this ruling allowed cable and satellite service to offer programming that is edgier than broadcast TV, meaning channels are free to air programs that stretch the traditional boundaries in terms of language, sexual situations, and nudity. This gives writers, producers, and directors more freedom over the content they create, and allows them to operate without the gatekeeping restrictions imposed by broadcast media.

The end result of these changes has been a narrowcast environment for television. The broadcast networks have had to respond to changing economic conditions and audience erosion by offering more reality television and live series competitions (e.g., *Dancing with the Stars*, *American Idol*, *America's Got Talent*) and less episodic television. One can still find situation comedies and dramas on broadcast network schedules, but each season results in fewer programs with high production costs.

Audiences now know that more cutting-edge content with higher production costs is found on cable and satellite channels. The popularity of series like *Mad Men* and *Breaking Bad* on AMC, and *Rescue Me* and *The Shield* on FX, and *Dexter* (Showtime) and *The Sopranos* (HBO) on pay cable are examples of these shifts. Even mini-series, once the mainstay of broadcast networks, have emerged on cable, evidenced by the 2012 rating success of the three-part *Hatfields and McCoy's* premiering on the History Channel.

Programming and Gatekeeping

The function of programmers in the broadcast and cable television industries in the U.S. has been to filter and organize content to attract specific audiences, and, in the case of broadcast television, to work within the boundaries of decency enforced by the Federal Communications Commission. Shoemaker and Vos (2009) described how media managers become gatekeepers of content moving through their channels, working from David Manning White's seminal research on "Mr. Gates" (1950) in which a variety of factors played a part in the acceptance or rejection of content to be disseminated to an audience. Shoemaker and Reese (1996) identified five levels of influence on media content: (1) influence on content from individual media workers; (2) influence of media routines; (3) organizational influences on content; (4) influences on content from outside of media organizations; and (5) the influence of ideology.

In the era of broadcast and cable television, broadcast radio, and print media, programmers and editors acted as gatekeepers for content in the traditional linear model of mass communication, from producer to consumer. In the current media climate of digital television, radio, and text content distributed and exhibited online via many platforms, the traditional model has given way to an interactive "prosumer" process in which consumers of content also act as producers of content in an ongoing feedback loop. No longer bound by the limitations of TV schedules or particular networks, search engines, content aggregators, crowdsourcing, and social networking have superseded traditional media gatekeeping.

When there are fewer media workers, less standardized media routines, and no organization to influence the content, there is less mediation of messages. Furthermore, with the Internet unregulated by the FCC, who is performing the role of gatekeeper? This is a matter of some controversy with the net neutrality movement being largely opposed by Internet Service Providers (ISP) that want to

be able to decide what content they push out to their subscribers at what rate of speed and ease of access, based on the ability of subscribers and content producers to pay for tiers of service; net neutrality activists fear that the ISPs also intend to act as gatekeepers of content based on influences other than concerns about revenue, particularly as content is increasingly concentrated among a few media conglomerates (Media and democracy in America, 2008).

In terms of other issues, it has become much easier for people to bypass traditional revenue models by downloading and sharing content for free without regard to copyrights. Further, limitations of geographic boundaries of broadcast media have been diminished, with local content shared nationally and internationally (for example, a tornado report in Oklahoma gets posted on YouTube) and international content clips both allowed and illicit appearing on the Web (e.g., Susan Boyle's performance on *Britain's Got Talent* in 2009 watched over 100 million times on YouTube) regardless of licensing deals and distribution through official channels. One key question to consider is the value of and role for content programmers and editors in this new era. Is it possible to quantify this value in some way?

Certainly reputation would play a role. In the 21st Century, many media professionals are moving to digital platforms to create new channels and content, away from the traditional network model. Here are a few examples (Jurgensen, 2012):

- Kiefer Sutherland is starring in a new online series *The Confessional*.
- Netflix is debuting two original series; *House of Cards* starring Kevin Spacey, and *Lillohammer* starring Steven Van Zandt.
- Netflix is also bringing back new episodes of *Arrested Development*.
- Madonna is producing *DanceOn*, a YouTube channel, and TV star Amy Pehler is involved in *Smart Girls at the Party*, another YouTube channel.

The content options are quite staggering, ranging from network-driven sites and applications to new channels and sites entering the marketplace. All of the networks have websites that offer programming, along with apps developed for mobile devices to access content. Hulu Plus, Netflix, Amazon Prime, and Blockbuster offer subscription services to users, while Vudu offers an online pay-per-view type model of HD movies with no monthly fees.

No doubt, there is a lot of content to sort out and even more will be created going forward. One method to sort through the plethora of content is to consider recommendations made by key opinion leaders who are experts in their areas. YouTube, Vimeo and other video sites post comments and sort content by popularity. Audience members may examine their Facebook friends to see what their peers "like" and comment on. Twitter is also a useful tool, especially through the use of hashtags to quickly identify comments on a particular type of content. Social media imposes an obligation on the user to check their Facebook and

Twitter links regularly in order to stay connected and aware. Some audience members might seek out background information and detail from a service like Wikipedia.

Social media can also disrupt traditional patterns of programming by its ability to leak plots and themes and share feedback among users. Consider the case of the popular U.K. TV program *Doctor Who*. When new episodes of that long-running BBC science-fiction drama were broadcast in Britain in 2011, executives at the BBC America channel observed a major spike in illegal file sharing of the show in the United States. Some Stateside fans, it seemed, were unwilling to wait the two weeks between the British and American premieres. Fans waiting on the new episodes were frustrated by online spoilers on blogs and Twitter. The BBC's solution was to compress time and space. Taking a page from the same-day worldwide premieres of blockbuster films, the new season of *Doctor Who* started on a Saturday, not just in Britain, but in the United States and Canada as well (Stelter, 2011).

Bloggers and critics are thus another source for comment and criticism of content. Film critics like Austin's Harry Knowles have carved a niche online that would not be possible through traditional media. In the era of social media, the roles of critics and programmers seem to be merging, so one can be a sort of archivist or curator in the sense of creating catalogs to help categorize content. In this sense, the personal touch, based on the track record of recommendations and how people may know you or think of you, is perceived as being better than a computer aggregating rating data through a service like Netflix that is tied to more mainstream popularity. Social media allows each individual to participate, exhibiting their own personal, quirky, human touch.

Social media has emerged to take on a new role in this gatekeeping process, one that is more open and participatory than previous models. In one sense, social media is an extension of previous efforts to unite audiences via technology. These ideas are explored in the next section.

Origins of Social Media

The introduction of the Internet brought with it the opportunity to bring people together who share common interests. While the original Internet was designed with research as its focus, the new medium also allowed people to connect with others who shared the same interests. The Internet made these communities of interest possible, especially for "social" interests. These online intentional communities based on interests rather than proximity (such as local clubs/organizations) formed the early roots for social media as we know it today.

The terms "friends" and "followers" were not used in these early efforts to unite people with common interests, but easily could have been used. What is interesting is to remind ourselves that the Web at that time was all text-based—no graphics, audio or video material that we take for granted today. Here are a few examples of these early efforts to utilize the Internet to bring interest communities together:

- SF-LOVERS appeared in the late 1970s on the ARPANET listserv for Science Fiction fans.
- 1978 BBS (Bulletin Board System) debuted.
- 1979 debut of Usenet.
- 1980 MUD (Multi-User Dungeon).
- 1985 the WELL debuts.

The WELL (Whole Earth 'Lectronic Link) was a pioneering virtual community bulletin board system inspired by counterculture (see "Learn about the WELL"). Founded by Whole Earth editor Stewart Brand, the WELL was designed to be a vehicle for social change using a decentralized management model, with little top-down control of content or networking. The WELL would eventually be acquired by Salon.com in later years, but is widely recognized for its role as one of the first virtual online communities.

In addition to online communities, computer users began to form clubs and interest communities that functioned both online and offline. The Homebrew Computer Club, first organized on the West Coast in 1975, was one of the most influential clubs to help shape the growing personal computer revolution.

Open source software was also a critical development in the growth of the Internet and ultimately social media, thanks in large part to scientist and innovator Tim Berners-Lee and his work through CERN (The European Organization for Nuclear Research) in Switzerland. Berners-Lee envisioned the Web to be collaborative, interactive, and open, and his ideas ultimately led to the development of the World Wide Web and html language in 1989. Lee's early software code helped people search for information more easily, and brought a graphic interface to the Internet.

The growth of the Internet and its various digital platforms brought about a new form of media convergence, and ushered in what Jenkins (2006) refers to as transmedia. Transmedia involves storytelling across multiple platforms, with each medium adding its own distinct contributions to an understanding of our world. Jenkins refers to this phenomenon as "additive comprehension," where an expansion of interpretive possibility occurs when fictional franchises are extended across multiple media texts and media outlets. This new era of transmedia established a clear role for the development of original Web content and new opportunities for distribution.

Web Content's Creation and Distribution

The explosive popularity of the World Wide Web in the 1990s brought about a paradigm shift in media content. It became inexpensive and easy for anyone with access to the technology to create and distribute content in this new environment. The first efforts to create content for the Web were text-based, established by blogging and wikis.

Blogging (Web logs) emerged as one of the first content forms to gain popularity on the Internet. The number of blogs on the Web changes by the hour; well over 150 million were estimated to be in existence in 2012. Blogs are often short-lived, in that 80% of blogs are abandoned in the first month.

In the United States, bloggers are more or less evenly split among gender groups, and about three-quarters are college-educated. There are many tools to develop a blog. Among the more popular are Wordpress.com, LiveJournal.com, TypePad.com, and Blogspot.com. Twitter is considered a micro-blogging tool, and one can find tweets linked to blogs offering original content.

Wikis allow users to share in the writing and editing of multiple versions of content. Wikipedia, the virtual online encyclopedia, is the best-known wiki. Wikipedia was first established as Nupedia, utilizing a traditional encyclopedia format with expert editors and writers who provided a rigorous review of content, but this model proved to be very inefficient and unsustainable.

An interesting paradox exists with Wikipedia. Anyone can use the site, but elite experts have created a small community of editors/writers who in effect run the site. There are also concerns about the accuracy of many of the entries on Wikipedia, and usually disclaimers are found on entries where more validation and research are needed.

The growth of social media networking sites like Facebook, Myspace, and YouTube established more outlets for sharing original content. While originally limited to user-generated content, eventually corporate entities would create their own pages and channels on which to offer content and promote their own programming.

The introduction of smart phones and the companion application markets quickly fueled interest in mobile platforms that offered new ways to consume content. Along with the establishment of tablet technology, the applications market continues to explode. Companies followed suit, with Netflix, Hulu, YouTube and virtually all the major broadcast and cable networks creating applications to deliver content in the mobile world. These efforts have led to a new form of gatekeeping called broadcastcatching.

Broadcastcatching

One popular way in which content is distributed on the Web has been mechanized by cutting out the gatekeeping role of programmers, through broadcastcatching:

To understand the concept described by this term, first take a look at traditional *broadcast* media (such as radio, TV, magazines and newspapers) and note that they generally consist of a *one publisher to many consumers* flow of information, and as such rely upon common opinions and beliefs, as each published issue is targeted for a mass audience.

On the other hand, *Broadcastch* connotes a *many to one* gathering of information, using a network of personalized agents to ideally sift through all available information and return just that which is of possible current interest from trusted, authenticable sources and in a form and style amenable to the user. Broadcastch is designed to thrive in a diversity of opinions and provide a mechanism that *effectively automates word of mouth*.

(*Broadcastch defined*, 2007)

One of the more popular formats of broadcastch is RSS feeds that syndicate (note that this is another term appropriated from broadcasting) content according to user preferences. *PC Magazine Encyclopedia* (2011) defines RSS as Really Simple Syndication, a syndication format that was developed by Netscape in 1999 and became very popular for aggregating updates to blogs and news sites. RSS also stood for "Rich Site Summary" and "RDF Site Summary."

RSS allows Web users to act as their own content programmers, filtering for themselves only the content that they are most interested in consuming. Broadcastch has become for some mainstream media companies a strategic way for them to control the feedback.

With the development of social and participatory media applications, and as broadcastch applications continue to be used, the personalization of content distribution once again has a human element while also utilizing the technologies of content aggregation. In this iteration, content distributors use their own filtered content choices to push out content to their subscribers or visitors, using broadcastch technologies and/or their own editorial recommendations. Individual website owners and bloggers can take on this task, and some have turned these formats into businesses such as *Technorati* and *The Huffington Post*.

Social bookmarking sites such as Del.icio.us and Digg use the participatory format to monitor members' ratings of content to prioritize its presentation. StumbleUpon also uses this kind of functionality, in a way that gives users a chance to find some content that they may not otherwise find through their own searches or through bookmarking and recommendations of others. StumbleUpon enables members to view random content, rate it, and have other "Stumblers" access their viewed content pages. Helft (2007) described this unique website in terminology that recalls that of television programming: "You tell the service about your professional interests or your hobbies, and it serves up sites to match them. As you 'stumble' from site to site, you will feel as if you are channel-surfing the Internet, or rather, a corner of the Internet that is most relevant to you." Moreover, the site picks are based on user ratings. This form of crowdsourcing puts the programming into the hands of the users themselves. YouTube also has a rating system function, and users not only can rate and post comments about the content in a conversation with other viewers, but they can also post their own video responses. YouTube channels also give people a chance to present their own user-generated content (UGC) and act as programmers of their own networks. Sites such as Netflix and

Amazon also use data from individual users and others to push content that the sites think the consumer will like.

Finally, social networking sites have also given a voice to users to act as programmers. Facebook friends and Twitter users make recommendations of specific content, hoping to embellish their personal reputations when their friends thank them for the referral. Twitter has taken on a role as an online “watercooler” by driving viewers to tune in to television. This is especially true for live sporting events, where tweets may spike as many as fifty times the normal traffic flow (Boorstein, 2011). Active social networkers can expect to spend at least a small part of each day following links provided by their friends, and doing the same for others. This is a much more intimate kind of gatekeeping, in which the channel programmers are not some distant executives deciding what content they will exhibit for mass audiences, but people we know and whose opinions and tastes we value, serving just their own network of friends and acquaintances. Facebook and Twitter posts can also be forms of media content for readers who are not actively participating.

Conclusion

Audiences in the digital era have a variety of choices of how to access content, from the old-style gatekeeping of broadcast media to personalized feeds to the recommendations of crowds and their friends. At what level they want their messages mediated, if at all, is up to them to decide. Media consumers become fans and followers, developing an emotional connection and sense of identification with and a sense of identity from the product or service, be it a television network or series, website, movie, or original content produced for digital media.

This also begs the question—can traditional media ever adapt to this environment? If so, traditional media must require links to non-owned content, and user-generated content (UGC). Such a move would counteract the tendency of corporate conglomerates to promote their own content ad nauseam, thereby limiting original content by constantly cross-promoting across platforms. This new environment would hopefully add variety and more choices for consumers.

This chapter has investigated how social media offers content (traditional media content as well as professional and user-generated content produced for the Web) to ever more segmented, fragmented, and individualized audiences who are also acting as gatekeepers by serving as curators and aggregators of the content that they consume. The traditional linear model of mass communications has undergone seismic shifts, as receivers of messages increasingly also act as producers of messages, actively provide feedback to messages, and also act as gatekeepers of channels that they control.

Editor's note

Dr. Dan Schackman died of a heart attack on November 20, 2011. He was 47 years old. A bright young scholar, Dan had agreed to participate in this project and completed a large draft of this chapter at the time of his passing. Some material was written by the Editor using notes from Dan's text as well as other sources to complete missing sections without changing the focus of the author's intent.

I am pleased to present this chapter in Dan's memory, and thank Professor Greg Bray at SUNY-New Paltz for his help in locating the chapter drafts written by Dan so his final work could be included posthumously in this volume.

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SOCIAL MEDIA AND THE VALUE OF TRUTH

Navigating the Web of Morality

Berrin Beasley

Cute. Cuddly. Pink. Big brown eyes, a smile that never quits, and smells like strawberries. That's Lots-o'-Huggin' bear, a new toy addition to Disney Pixar's *Toy Story* film trilogy that made its 2010 debut in a viral video uploaded to YouTube by MyCrazyCommercials. The video appears to be an early 1980s advertisement for the Lotso bear taken from an old VHS tape. Flickering images and distorted sound contribute to the ad's seeming authenticity. MyCrazyCommercials features other vintage television commercials that are legitimate, which lends credibility to the Lotso video as a real ad. And in *Toy Story 3*, the film in which audiences first meet Lotso, the bear is depicted as a 1980s toy, which supports the veracity of the viral video ad. By November 2012, the video had recorded nearly 1.4 million views (Lots-o'-Huggin' bear commercial, YouTube, 2011).

But as is common with popular viral videos, viewers quickly began to question the ad's authenticity. Some doubted because there was no brand logo shown or mentioned in the commercial. Others posted that the school bus steps shown in the video were inconsistent with the buses of the time and that the little girl's school lunch box was made post 1980s. They were right to doubt. John Lasseter, chief creative officer of Disney and Pixar Animation Studios, is shown in a different YouTube video, one by Disney Living, saying that Lotso was a character idea from the first *Toy Story* that finally made its way into the latest film. Therefore, the video couldn't possibly be authentic (*Toy Story 3* drops in at toy fair, 2011).

Posting the Lotso video on a YouTube channel next to real retro TV ads but without any mention of *Toy Story 3* is part of a sophisticated viral video marketing campaign by Disney and Pixar. Lots-o'-Huggin' bear's viral video falls into an ethical gray area because while it never purports to represent a real product, it does present the product in such a way as to imply it is real. By using traditional advertising norms it blurs that line—intentionally—between Hollywood fiction and marketing reality. Contributing to the ethical gray zone is the fact that Disney Pixar wasn't trying to sell the Lotso toy, but promote the movie in which it appears. Creative marketing strategies happen around us all the time, so as a public

we're not terribly surprised to learn that the Lotso video was fake. In fact, some YouTube users enjoy trying to determine the authenticity of videos, such as that of Kobe Bryant jumping over a moving Aston Martin. The video is shot to look like a personal camera is recording an impromptu challenge for Bryant to jump over an oncoming car, but it is really a viral video in which Nike's Hyperdunk Black Colorways sneakers are hawked without Bryant ever saying a word about them (Kobe Bryant jumps over an Aston Martin car, 2011).

Disney Pixar's and Nike's videos do more than just promote a product on YouTube. They take advantage of the unique characteristics of social media to engage viewers in conversation about the product, silently challenging them to uncover the truth of the video and consequently spurring the video's popularity on the web. Some see these kinds of videos as harmless fun, an entertaining way to spark interest in a product. Others are concerned they mislead viewers into thinking they are watching a truthful video, not a marketing one.

Changing Model of Communication

Ethical decision-making is a tricky business under the best of working conditions. At least with legacy media like newspapers, magazines, and television there have been more than 80 years of wrangling over the subject of ethics, resulting in a number of well thought out ethics codes and countless books on the ethical practice of the media. These codes were created under the media industry's business model of communicating from one to many with limited ways in which the public could contribute to the information-making process. But social media are different; they are an extension of the Internet construction of communicating from one-to-many or one-to-several or one-to-one, depending on user intent.

Because so many of the legacy media's ethical codes applied to the Internet, media practitioners at first considered social media little more than a sophisticated version of traditional communication modes. In the early days of the Internet, traditional media posted for free content that was already published in newspapers and broadcast on the news. Banner ads accompanied the content in the hope users would notice them and click through to the product or service advertised. Over time, information presentation and data collection evolved and a new Internet-based communication form emerged. As a result, social media forced news and advertising content producers to rethink a centuries-old communication method, and the ethical practices that go with it.

Social media are generally defined as mobile and web-based technologies that facilitate interactive dialogue, allowing users to create and exchange their own content. The best-known of these are YouTube, Twitter, and Facebook. Social media technologies are easily accessible and scalable, permitting the expansion and contraction of users and content as dictated by user interest. Skilled media industry practitioners recognize these basic elements of social media and make use of them accordingly. The key difference between social media and other forms

of communication on the Internet is the concept of authoritative user-generated content, the ability of users not just to respond to information presented by the media industry, but to usurp its role as authority on the dissemination of information and persuasion content. This difference requires industry professionals to compete with other information outlets, which is not really a new challenge, except that this time the competitor communicates with audiences tied together by conversation, personal relationships, and the sharing of knowledge in an intimate manner, even if shared with millions (Kietzmann, Hermkens, McCarthy, & Silvestre, 2011).

The Marketplace of Ideas

More than four centuries ago, poet John Milton, followed by John Stuart Mill, Thomas Jefferson, and U.S. Supreme Court Justice William Brennan, among others, championed the First Amendment need for a free and open marketplace of ideas, where truth and falsity compete for attention, but where truth always emerges victorious. In her book on the application of the marketplace of ideas philosophy to the practice of public relations, Kathy Fitzpatrick identifies four foundations of the Marketplace of Ideas: access, process, truth, and disclosure (Fitzpatrick & Bronstein, 2006). The extension of Fitzpatrick's model to include social media can provide a framework through which to view the ethical use of such by media practitioners. The legal interpretation of the marketplace of ideas concept originated with U.S. Supreme Court Justice Oliver Wendell Holmes in 1918 when Holmes wrote that "the free trade of ideas" was necessary for the good of the people (*Abrams v. United States*, 1919). His decision supports previous philosophical postulations that people have a right to freely speak information and hear information and that they can deduce the truth in a rational manner because there is one objective truth to be divined (Fitzpatrick & Bronstein, 2006).

Alexander Meiklejohn (1948) valued speech in a hierarchy in which political speech is classified as the most valuable, and commercial speech the least valuable. Even when it comes to false information, political speech (*NYT v. Sullivan*, 1964) is privileged over commercial speech, which has strict liability laws that prohibit falsity by misrepresentation or omission. Supreme Court rulings make it clear that commercial speech has only limited constitutional protection (*Bigelow v. Virginia*, 1975) and that "false, deceptive, or misleading" communication has no First Amendment protection (FTC Policy Statement on Deception, 1985). Within the continuum of speech, between the poles of political speech and commercial speech, lies the expression of ideas that could loosely be described as general. Contribution of these to the marketplace in a meaningful way requires an important element: access to the marketplace.

Access: The Right to Speak and Hear Information

Following decades of judicial rulings on the breadth and depth of what constitutes the freedom of expression and its location within the First Amendment, *access*, broadly defined, is the right of individuals to freely express themselves and to receive information necessary for informed decision-making. A speaker's access to the marketplace is fundamental to the free flow of information and ideally the contribution of all available knowledge on a subject. Social media provide access for the average citizen to the contribution and consumption of information as never before, and media practitioners have a responsibility to provide the most comprehensive information necessary for authentic understanding of a subject by an individual.

Unfortunately, there remains a disparity among social media users regarding access. Some have more access than others. This is abundantly clear when one considers the technological divide, but it is perhaps less clear when considering the ability to contribute information via social networks. Social media are hailed as the great information equalizer. Anyone with access to the Internet can post information, regardless of whether the information comes from the *New York Times* or a cell phone in Libya. While that may be true on the surface, the resources available to the creator of the information can significantly affect the quality of the information and its value to the marketplace. For example, though the Lotso television commercial may have been exposed as a fraud by some on the Internet, many more will have viewed it and taken from it the idea that Lotso was a real toy from the 1980s. Media practitioners may wonder why a video about a stuffed bear is important; it's just about a toy in a movie. But it is really more than that. It is an example of how the many talented employees at Disney Pixar, with their range of high tech equipment and deep-pocket funding, can create videos that exploit advertising's social norms to intentionally mislead consumers. By failing to disclose the ad as a promotional piece for an upcoming movie, Disney Pixar can use it to mislead viewers about the video's true purpose, thereby preventing them from critically consuming the video. It's an example of failing to provide access to *the most available* information on a subject and an example of the different levels of access between wealthy corporations and individual citizens.

Process: The Creation and Distribution of Information

Legal rulings have made clear that political speech is privileged over commercial speech and that the value of speech is determined by the meaningful contribution it makes to the marketplace. This conclusion favors news from media outlets over persuasive information presented by advertising and public relations practitioners and plays an important role in the ethical use of social media. There remains the philosophical understanding that news outlets will use social media to present truthful information that is objective and factual unless the viewer (perhaps user is

a more appropriate word when discussing social media) is informed otherwise. Persuasive communication is expected by the Federal Trade Commission to avoid false representations and deceptive omissions so that users may recognize persuasive information when exposed to it. Therefore, it is the *process* by which communication channels are accessed and information created and distributed that separates ethical media industry practitioners from unethical ones. Sending a Facebook friend request to a story subject or source to gain access to personal information without the reporter identifying him or herself as such is a clear violation of the socially responsible, and thereby ethical, use of social media. Using public information found on the subject's Facebook page, or any other social media site, is an ethical use because the person voluntarily contributed to the marketplace of ideas about him or herself.

ABC's *Nightline* co-anchor Terry Moran's tweet about President Obama's "jackass" comment to his more than 1 million followers is another example of the unethical use of social media for information dissemination (Obama calls Kanye West a "Jackass," 2009). During the 2009 Video Music Awards show, hip-hop singer Kanye West interrupted country singer Taylor Swift's acceptance speech by taking the microphone from her and proclaiming singer Beyoncé Knowles had the better music video. In an off-the-record conversation during an interview for CNBC, Obama was asked about West's stunt and replied West's behavior was that of a jackass. Moran sent the following tweet: "Pres. Obama just called Kanye West a 'jackass' for his outburst at VMAs when Taylor Swift won. Now THAT's presidential." Because the tweet was from an off-the-record conversation, ABC quickly deleted the tweet and issued an apology for it:

In the process of reporting on remarks by President Obama that were made during a CNBC interview, ABC news employees prematurely tweeted a portion of those remarks that turned out to be from an off-the-record portion of the interview. That was wrong. We apologize to the White House and CNBC and are taking steps to ensure that it will not happen again.

(Obama calls Kanye West a "Jackass," 2009)

Still, the damage was done. One post less than 140 characters in length resulted in instant, widespread discourse across the Internet and the apology of a national television network.

An example of the gray area surrounding the press' ethical use of social media for news purposes occurred during the attack on Fort Hood. When U.S. Army major Nidal Malik Hasan opened fire on his comrades at Fort Hood military base in November 2009, base commanders followed protocol by placing the base on lock down. There was limited movement on and off the base of both people and information. When supposed eyewitness accounts from inside Fort Hood began emerging via Twitter, traditional news outlets integrated the content into their own online and social media content. Complicating the matter was that the day

before the shooting occurred microblogging site Twitter had launched a new feature called Twitter Lists, which allows users to sort the people they follow into lists (Heussner, 2009). A number of major news outlets like *The New York Times*, *The Washington Post*, and *The Dallas Morning News*, compiled lists of breaking news from Fort Hood. One of the most prolific tweeters from inside Fort Hood was Tearah Moore. Unfortunately, a number of her tweets provided inaccurate information. For example, at one point she tweeted: "Some guys just shot 19-25 people." Some of her tweets were criticized as insensitive, such as "[T]hey just brought a CART full of boxes w/transplant parts in them. Not good not good. #fthood." Considered most insensitive was the picture she tweeted of a soldier being brought into the hospital on a gurney with the caption, "The poor guy that got shot in the balls."

Moore was not a trained journalist. She was a person in a crisis situation sharing information the only way she could. Under those circumstances one can allow that Moore may not have used her best judgment when deciding what information to share, and that Moore could have understandably tweeted inaccurate information, even while sharing her phone number via tweets from inside Fort Hood encouraging followers to relay her number to media outlets so she could provide updates. What's more important than her sudden role of citizen journalist is how the news media used Moore's and others' tweeted information. By incorporating these tweets into a list of tweets from other local news agencies like TV station KCEN and the *Fort Hood Sentinel*, Moore's tweets and the tweets by others claiming to originate from inside Fort Hood were given more credibility than they would have under usual circumstances. But that is the point in this case. The Fort Hood shooting was not normal circumstances, which asks the question: For the press, where is the line between providing truth—honest and factual as required by its responsibility to society—and providing ideas to the marketplace before the value of those ideas has been evaluated?

It is the *process* that affects the information. In the Fort Hood shooting, the need to provide information to the marketplace was fundamental, and when little to no information was available from trusted sources, the press chose to disseminate the tweets, even though the source and accuracy of those tweets were not identifiable at the time of the event. This is an example of the Self-Righting Principle, the corollary to the Marketplace of Ideas. The Self-Righting Principle predicts that in the marketplace of ideas, truth will always overturn falsity. Indeed, as time progressed and more information became available, traditional news outlets engaged in their primary function of verifying the truth and accuracy of information before sharing it and of correcting the errors in previously shared information. Shortly after the attack by journalists, bloggers, and other citizens about her inaccurate and insensitive tweets, Moore ended her work as citizen journalist and changed her Twitter profile from public to private.

Other process issues to consider include the role journalists should play in the social media landscape, for these days most major news outlets, and many smaller

ones, require their employees to blog, tweet, and contribute to the outlet's Facebook page. NPR, *The New York Times*, *The Wall Street Journal*, and numerous other news outlets have embraced social media as new information and dissemination tools. Journalists tweet while covering meetings and events, they post status updates on the outlet's Facebook page, they write pieces for the outlet's legacy format and its online site, and they blog about their stories. In all these cases reporters are reminded they represent the news agencies for which they work and are held to the same code of conduct as when writing, reporting, and editing for their traditional workplace. They are also told their personal participation in social media reflects on their workplaces and should be guided by the same code of ethics they use at work. In 2009, *The Los Angeles Times* updated its code of ethics to address journalists' personal online activities.

Assume that your professional life and your personal life merge online regardless of your care in separating them. Don't write or post anything that would embarrass the LAT or compromise your ability to do your job. Assume that everything you write or receive on a social media site is public and knowable to everyone with access to a computer.

(Mashable.com, 2009)

Also stated is that journalists should not join politically or morally charged groups via Facebook or other networking sites. They should not blog, tweet, or otherwise post opinions about subjects or people they cover, a guideline violated in summer 2011 when several AP journalists tweeted their opinions about two very controversial subjects: the New York Senate vote on gay marriage and the Casey Anthony trial in Florida of a young mother charged with killing her 3-year-old daughter. As a result, AP Deputy Managing Editor for Standards and Production Tom Kent issued a memo to AP journalists regarding their use of social networks, "however we may configure our accounts or select our friends, [social networks] should be considered a public forum. AP staffers should not make postings there that amount to personal opinions on contentious public issues" (Romenesko, 2011). In a more serious case of a journalist tweeting about a news subject, CNN's senior Middle East editor Octavia Nasr was fired in 2010 following a tweet through her official CNN Twitter account in which she expressed sadness for the death of Grand Ayatollah Mohammed Hussein Fadlallah, Lebanon's top Shia cleric with ties to the militant group Hezbollah, which the U.S. views as a terrorist organization (Bauder, 2010). In her tweet Nasr wrote, "Sad to hear of the passing of Sayyed Mohammad Hussein Fadlallah. One of Hezbollah's giants I respect a lot." CNN fired Nasr, who had been with the company for 20 years and had interviewed Fadlallah in 1990, saying the tweet did not meet CNN's editorial standards and had compromised her credibility as a journalist. Nasr's tweet was quickly removed from her Twitter feed and the following day she blogged on the CNN website that her tweet was "simplistic" and an "error of judgment." She

explained she was praising Fadlallah for his stance on women's rights, particularly his call to end honor killings. Also in her blog Nasr wrote, "Reaction to my tweet was immediate, overwhelming and provides a good lesson on why 140 characters should not be used to comment on controversial or sensitive issues, especially those dealing with the Middle East."

The Process of Using Social Media Deceptively

On the commercial side of social media use, users have more latitude in their actions, as long as their communication is not misleading due to misrepresentation or an omission of information important to a consumer's decision to purchase a product or service (Fitzpatrick, 2006). In 2007, Marié Digby was a 24-year-old aspiring musician, uploading to YouTube homemade videos of her covering popular songs, including an acoustic rendition of Rihanna's "Umbrella," hoping she would become a viral success and record executives would sign her to a recording contract (Smith & Lattman, 2007). Her videos quickly gained traction. Her version of "Umbrella" was included in an episode of MTV's *The Hills*, was played on radio stations in Oregon and California, including Los Angeles, and was even available for purchase on iTunes. In July, she was interviewed by Los Angeles DJ Valentine on adult contemporary radio station KYSR-FM where they discussed her nearly instantaneous rise to fame. Digby modestly explained that she was "usually the listener calling in, you know, just hoping that I'm going to be the one to get that last ticket to the Star Lounge with [pop star] John Mayer!" In August, she posted on her Myspace page, "I NEVER in a million years thought that doing my little video of Umbrella in my living room would lead to this . tv shows, itunes, etc !!!" After 2.3 million views of her version of "Umbrella," Digby's wish came true. Walt Disney Co.'s Hollywood Records label issued in a press release: "Breakthrough YouTube Phenomenon Marié Digby Signs With Hollywood Records." Unfortunately, Digby was not what she claimed to be. Eighteen months before her YouTube success, Hollywood Records had already signed her to their label. In an elaborate marketing plan that relied heavily on social media, Hollywood Records and Digby concocted the idea of depicting her as an average girl who dreamed of being famous. YouTube was the perfect outlet for their plan because on YouTube anyone can be famous, just ask pop singer Colbie Caillat, who also signed a record contract based on the songs she wrote and posted on her Myspace music page.

In Digby's case, the farce was complex and widespread. One month after her supposed contract signing, *Wall Street Journal* reporters exposed the charade and the extent of Digby's and Hollywood Record's deception was revealed. The Apple computer and software she used to record her videos were given to her by Hollywood Records. The LA DJ who interviewed her? In on the ruse, as were station programming executives. The high-quality sound of Digby's version of "Umbrella" available on iTunes? It was recorded by Hollywood Records, which

also released it to radio stations for play. How did Digby and Hollywood Record producers respond when confronted about their deception? They said it was difficult for new artists to break in to the music scene and that online publicity was an opportunity too good to pass up. "I was coming out of nowhere," Ms. Digby said. "I wanted to find a way to get some exposure."

Digby's case in some ways parallels Lots-o'-Huggin' bear's in that both were viral video hits on YouTube and both used deception as a ploy to attract viewers. The companies behind the deceptions intended them to result in monetary gain, either through viewers seeing the movie or listeners buying songs. And in that gray area between omitting information, such as Lots-o'-Huggin' bear not being a real toy, and using misleading information, as in Digby's case, neither failed to provide information material, or necessary, to the decision of an individual to purchase a product or a service. However, the *process* of deciding to deceive the public via a social media outlet bears evidence that the outlet itself carries heavy ethical weight because neither campaign would have been directed to a traditional media outlet.

Truth is Crucial to Serving the Public Good

While access and process make important contributions to the Marketplace of Ideas, truth is the most important of the four foundations. Every credible media organization lists truth as key to its mission. The Society of Professional Journalists directs journalists to "seek truth and report it." The Public Relations Society of America's code of ethics states providing "truthful information is essential to serving the public interest." The Word of Mouth Marketing Association, a professional organization for the social media industry, encourages members to "create an environment of truth between consumers and marketers." However, as with traditional media, not all social media companies value truth to the same extent as their professional organizations. Until mid-2011, Twitter was used as a non-disclosed conduit for payment by celebrity tweeters. Mention a product and make a buck or two, or \$10,000. Kim Kardashian reportedly earned as much as \$10,000 per testimonial in 2010 when tweeting about a product or service, or approximately \$71 per character based on Twitter's 140-character limit (Evangelista, 2010). By November 2012, Kim was listed as being one of the highest-earning celebrity tweeters on Sponsoredtweets.com, a software platform used by IZEA Holdings, Inc. to facilitate social media-sponsored (SMS) campaigns (Sponsored tweets.com, 2012). With 16.6 million followers Kim's endorsement was in such high demand that companies who wanted Kim to sponsor their product via Twitter had to call Sponsoredtweets.com for her price-per-tweet fee. IZEA defines itself as a company that facilitates social networking promotional campaigns by compensating "bloggers, tweeters and mobile promoters (our publishers) to share information about companies, products, websites and events within their social media streams. Advertisers benefit from buzz, traffic and awareness; publishers earn cash, points and product samples" (IZEA.com, 2011).

IZEA isn't the only company in the business. MyLikes and Ad.ly also broker deals between sponsors and Twitter users. Social media-sponsored promotional campaigns in general came under the scrutiny of the Federal Trade Commission (FTC) after the agency issued guidelines for paid-for celebrity testimonials on blogs and social media sites (FTC, 2009). The FTC's guidelines stipulate that "material connections" between advertisers and endorsers, including bloggers and word-of-mouth marketers, must be disclosed and that celebrities must reveal their paid status when promoting a product outside the context of traditional advertisements. Given Twitter's 140-character limit, sponsored tweets often carry the short hash tag #spon or #ad or #paid or #smp at the end to indicate the tweeter was compensated either by cash or free samples. Sponsoredtweets.com is taking the FTC's directions to heart, both legally and ethically. On its website the company explains it uses a software program to automatically check for disclosure of sponsorship before a tweet is posted and provides tweeters with example disclosure statements to include in their tweets. However, if a company still wanted a Kardashian to tweet about it but couldn't afford Kim, her younger sister Khloe was available for \$13,000 per tweet to her 7.7 million followers, ethical sponsorship disclosure included.

IZEA also owns Socialspark.com (2011), a company that functions in the same way as Sponsoredtweets.com except it connects advertisers with bloggers. For many advertisers blogging extends the product or service mentions in Twitter's microblog into full-blown conversations in other forums, such as Deal Seeking Mom and tech blogger Chris Pirillo. The FTC's social media guidelines apply to blogs as well. People who are paid to blog about a product or service, whether in money or sample products, are expected to do so truthfully by disclosing their compensation. The same is true for product and service reviews. At this point in the chapter it becomes clear that *access*, *process*, and *truth* cannot be considered without discussing *disclosure*, which is the transparency of the information individuals use to inform their decisions and behaviors.

Disclosure: Key to Building Trust

One example of undisclosed sponsored blogging that resulted in a wave of negative publicity when exposed was the "Wal-Marting Across America" blog. In this case, two supposedly average Americans traveled across the United States in an RV, staying overnight in Wal-Mart parking lots and blogging about their encounters with Wal-Mart employees (Gogoi, 2006). Jim and Laura, who did not use their last names, began their blog in Las Vegas, the starting point of their journey, and ended it when they reached their destination in Georgia. The couple blogged about the Wal-Mart employees they met, all of whom provided excellent service to the travelers. In Amarillo, Texas, the pair blogged about an employee whose son had a potentially fatal heart disease requiring \$300,000 worth of medical

treatment. He told the two that if it weren't for his Wal-Mart health insurance, his son might not be alive today. A stop in Bentonville, Arkansas, the headquarters of Wal-Mart, introduced readers to a former Wal-Mart cashier, now project manager for corporate sustainability, who talked in detail about how proud she was of Wal-Mart's effort to go green. What Jim and Laura didn't disclose was that Wal-Mart was indirectly funding the trip by paying for their RV, gas, food, and other expenses through the organization Working Families for Wal-Mart, a company founded the year before by Wal-Mart's public relations firm Edelman. Working Families for Wal-Mart described itself as a grassroots organization dedicated to countering criticism by labor groups, but in no way did it disclose that Wal-Mart was its primary benefactor or that the organization's blogs were written by three Edelman employees.

In an interview with *BusinessWeek* early in their travels Laura said she and her partner, who live together and have three children, came up with the idea of taking an RV trip to see their children and staying in Wal-Mart parking lots to save money. Laura said she contacted Working Families for Wal-Mart about their plan and the organization offered to fund their expenses. The organization flew the pair to Las Vegas where an RV with Working Families for Wal-Mart emblazoned across the sides was waiting for them. Working Families for Wal-Mart also set up a website for Laura and Jim to blog on, and paid Laura a freelance fee to chronicle their adventure. Although there was a Working Families for Wal-Mart banner on their blog site, nowhere was the mention that Wal-Mart was the biggest benefactor of Working Families for Wal-Mart and that the organization had been created less than a year earlier by Wal-Mart's public relations firm. Just days after the couple's road trip began, the press identified Laura as Laura St. Clair, a freelance writer, and Jim as Jim Thresher, a professional photographer who was in his 25th year as an employee for *The Washington Post*. Very quickly the newspaper's executive editor said Thresher had spoken with an editor about the trip but did not explain that it would be a sponsored venture and that Thresher's actions violated the newspaper's policy on doing freelance work for special interests. While *The Washington Post* was an unintended victim, Edelman's public relations plan from the beginning was to promote its client's image via social media, ignoring its professional organization's key principle of being "honest and accurate in all communications." Shortly after Edelman's elaborate social media PR stunt was exposed, president and CEO Richard Edelman addressed the situation on his own blog. "I want to acknowledge our error in failing to be transparent about the identity of our two bloggers from the outset." As a lesson to persuasive media outlets engaging in social media campaigns, transparency is the key to success. Honest communication in any social media outlet is crucial to success. Because of the openness of social media and the ability of the public to engage directly with the information provider and with others interested in the information provided, imperfect communication is ethically necessary and effective. "Packaged, filtered, controlled conversations" are not (Gunther, 2006).

Another situation that speaks to the need for identity disclosure when using social media is that of *The Los Angeles Times*' Pulitzer Prize-winning reporter and columnist Michael Hiltzik, who used pseudonyms to post comments on his own blog and the blogs of other people (Kurtz, 2006). Hiltzik had long-standing public feuds with conservative bloggers Hugh Hewitt, a radio talk show host, and Patrick Frey, an assistant Los Angeles district attorney. On his *Times* blog Hiltzik posed as "Mikekoshi," praising his own work and criticizing Frey's and Hewitt's. About Frey's blog Mikekoshi wrote Hewitt shouldn't be "running around loose in public without a muzzle" and on another site Mikekoshi criticized one of Frey's blogs as a "buffoonish post" and congratulated him for reaching "a new high-water mark in dopey criticism." Hiltzik was exposed when he used his Mikekoshi pseudonym to respond to criticism of him in Frey's column. Frey traced the IP address of Mikekoshi and discovered it was actually Hiltzik. *The Los Angeles Times* responded by suspending Hiltzik's blog after he admitted to using the pseudonym, saying he violated the paper's policy by using a false identity to post derogatory comments. Failing to disclose one's relationship with a media outlet, be it a news organization or a buzz marketing business like Sponsoredtweets.com, robs the marketplace of valuable information and creates an imbalance of power because one perspective appears to have more support than another.

Sony's PSP Marketing Campaign and the Four Foundations

While laws are in place that protect speech within the marketplace, media practitioners have an ethical responsibility to self-regulate their actions, thereby ensuring the most complete version of the truth is presented in the marketplace at all times. Lying by omission, as in undisclosed sponsored tweets by celebrities, is an example of unethical behavior that fails to provide the public with the most available information. Other cases, such as Marié Digby's meteoric rise to musical fame, are examples of outright deception, but neither fail to provide information "material" to a person's ability to make a reasoned decision to buy a product or service. In these cases and many others, the ethical responsibilities of social media use pick up where legal ones leave off. For example, Sony's PSP social media debacle "All I Want for Xmas is a PSP" violates all four marketplace principles (Nudd, 2006). In this campaign Sony, with the help of marketing firm, Zipatoni, created a fake video/blogging website about two target-demographic guys trying to drum up support in convincing their families to buy them a PSP for Christmas. By presenting information in a stealth format, Sony failed to provide the most available information to the marketplace, a tactic that backfired when gamers quickly identified the website as registered to Zipatoni. Internet users' access to more information than what Sony/Zipatoni provided quickly righted the imbalance in the marketplace.

Well-funded businesses can sometimes dominate the marketplace, thereby limiting other voices, and by deceiving the public about the source of certain

information and the level of support their particular interest really has, the businesses can affect the *process* of communication. Such was the case with Sony/Zipatoni when it attempted to embed its campaign within legitimate social media networks. The contribution of misleading or false information to the marketplace obstructs the public's ability to discern an objective *truth*, and failing to *disclose* the origin of communication limits the transparency necessary for informed decision-making. Unfortunately for Sony and its PSP, their attempt at blending in with other authentic social media users was quickly identified. Sony took down the website and issued an apology for its ploy.

Busted. Nailed. Snagged. As many of you have figured out (maybe our speech was a little too funky fresh???), Peter isn't a real hip-hop maven and this site was actually developed by Sony. Guess we were trying to be just a little too clever. From this point forward, we will just stick to making cool products, and use this site to give you nothing but the facts on the PSP.

(Nudd, 2006)

The Penny Arcade gaming site addressed Sony's campaign and the new communication model of social media as exemplified by viral marketing with this statement: "The reality is that no agency can create viral marketing, this is the sole domain of the consumer. Viral marketing is what happens when a campaign works—when we allow their message to travel via our own super-efficient conduits" (Graft, 2006).

The Ethical Use of Social Media

A common element among major professional media organizations is that all address the four foundations of the marketplace of ideas in their codes of ethics. All stress the need for the free flow of information in a democracy. All go into specific detail about the ethical processes for gathering and disseminating information, and each addresses the overriding need for truth, which should be accessed via full disclosure. Many have extended their codes of ethics to specifically address social media, reminding their employees that while the ways and means of reporting and writing may have changed, the ethics behind them haven't. As representative of the social media and word of mouth industry, the Word of Mouth Marketing Association's (WOMMA) code of ethics presents little difference between legacy media's and WOMMA's expectations: to use only ethical means in conducting business; to adhere to ethical standards that may exceed those required by law; and avoid deception.

Granted the Self-Righting Principle should eventually correct any false or misleading information that finds its way into the marketplace, and in all the cases presented in this chapter has done so, ethical use of social media by media professionals ensures the Self-Righting Principle need not be employed to assure

a free flow of communication. As demonstrated in the Sony PSP example, the four foundations of the marketplace of ideas can provide a framework for assessing the ethical legitimacy of media communication practices (Fitzpatrick, 2006). While social media offer media practitioners the opportunity to ethically contribute information to the marketplace in ways radically different from the traditional push model of sending out information for the general public to find, a wide variety of publics can engage with modern information and persuasion professionals on an equal footing as part of a richer, more complex conversation, even if at times it's limited to 140 characters.

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13

THE SOCIAL MEDIA INDUSTRIES

Summary and Future Directions

Alan B. Albarran

After reading the previous twelve chapters, you, dear reader, are likely to have more questions about the social media industries than when you started investing your time in this volume. For what it's worth, as Editor, I feel the same way. We have a far from complete understanding of the social media industries, no doubt due in part to the nascent stage of development. There is perhaps some frustration because we have little, if any, actual data to digest as to how these firms that make up the social media industries are performing. Very few social media firms are public companies, and the few that are public have not had a long enough history to truly gauge their economic impact and performance as an industry.

But there are some things we can take away from these chapters by drawing a synthesis of the material, and by understanding that more research will be needed on this subject. In no particular order, here are a few of the main propositions one can pull from the insights offered by the contributors to this volume.

- The social media industries are unique in that there are few barriers to entry (so starting new firms is relatively simple), sites that meet the demand of consumers are widely popular, but very limited business models exist, and there is no clarity as to how these sites will make money aside from traditional advertising. Many business analysts outside the social media industries question the long-term potential of social media from a finance/investment standpoint. A few companies are making money. The majority are not. The dependence on advertising as the primary means of support is a huge issue.
- Social media's strength as a marketing tool is widely known. Miller's Chapter 5, written from the perspective of a social media marketing professional, emphasizes the importance of strategy and audience engagement in forming social media campaigns. As the social media industries continue to develop and refine their role as a form of marketing, this will help the industries in their effort to attract additional revenue streams beyond advertising.
- Consumer demand for social media is one of the industry's great strengths. We know how Facebook alone would be one of the three largest countries in the world if it were a nation, but as this volume attests, there is also strong

growth occurring in the United States for people over 35, and among the key ethnic groups of Latinos, African Americans, and Asian Americans. Coupled with strong global growth, the social media industries are in strong demand by consumers.

- Clouding the growth of social media as an industry is a number of ethical concerns. In Chapter 7, Beasley offers many examples of ethical concerns broached by social media. Questions over ethical practices by corporations can quickly damage public opinion and create public relations nightmares. Social media by its participatory nature raises numerous questions and issues over the ethics of social networking sites, so consumers play a role in this area as well. Ethical issues can damage the goodwill in an industry and also limit potential growth.
- Privacy issues surround many aspects of the social media industries, as detailed by Lee in her examination of the topic in Chapter 9. Privacy issues have led many individuals to close profiles and walk away from SNS because of fears as to how personal information will be used by the firms involved. Privacy issues will continue to pose challenges to the social media industries and could affect economic performance, especially if new controversial policies are introduced.
- In terms of theoretical issues, there is much to be learned about social media and its tangled “web” of relationships between firms, audiences, advertisers, marketers, and other constituencies. As Pérez-Latre’s Chapter 3 illustrates, social media is impacting human communication and communication between individuals and industry. Social media needs further exploration not just from a business perspective, but from other theoretical orientations as well.
- The social media industries will continue to impact the development and distribution of media content, whether created by traditional media or in the form of user-generated content. Schackman’s Chapter 6 details how the social media industries are delivering original content, and how users have moved into roles as gatekeepers and curators of content.
- Traditional news media has been dramatically affected by the growth of the social media industries. Standley’s Chapter 8 offers a slice of original research detailing how news media organizations have both embraced and adapted social media in their newsgathering efforts. Social media has emboldened the concept of the “citizen journalist.” Social media has also established itself as a key source for breaking news.
- Social media is everywhere. Social media is a global phenomenon that is yet to reach its full potential. Social media has impacted many areas of society, and has proven to be a catalyst in organizing individuals and groups in terms of politics, social initiatives, and activism.

Moving Ahead: Researching the Social Media Industries

How then should the scholarly community address future research on the social media industries? Clearly there are multiple paths available to researchers. Trying to research the social media industries is itself a daunting task. Here are a few suggestions, again drawing on a synthesis of ideas generated by the contributors to this volume:

- In examining social media as a set of industries, going forward, researchers will have more data to monitor trends in terms of evolving market structure, conduct, and performance. What will be interesting to study is how social media evolves outside this traditional paradigm. How will firms respond to new competitors who enter the market? How will innovation and new technology affect the development of social media as a whole? Will the social media industries find new revenue streams beyond advertising, and, if so, what will they be?
- Social media is primarily driven by consumer demand, and most likely more of those consumers will access social media via mobile devices. As such, the study of social media must also consider the development of the mobile media industries, and how it will impact social media. Soon we can expect to see mobile devices that we wear. Google is one company experimenting with a pair of glasses that will access the Internet, take pictures and video, and offer other features.
- Social media's impact on traditional media will continue to be an important research topic. How social media evolves in the distribution of content products and news is of particular interest. As more and more content moves to the web, how will social media be affected? Will social media firms enter the content markets by actually creating original content?
- Because of their growth and first mover advantage, Facebook, LinkedIn, Twitter, and YouTube have tended to attract most of the scholarly attention among social media firms. What we need are case studies of other social media firms, so we can better understand their development, their strategic planning, and the markets they are trying to capture.
- Likewise, we need case studies and essays exploring "best practices" among firms outside of the social media industries who use social media for marketing, promotion, and public relations activities. This would be particularly helpful to those of us training future generations of social media practitioners, to help identify needed skill sets and opportunities for careers.
- Legal and ethical issues associated with social media deserve more scholarly attention. Litigation is rather common across social media and technology firms, usually over topics like patents. The courts will continue to have a role in monitoring the industries and taking action as necessary. Ethical issues are all too common across the media industries, and in the early development of the social media industries, we've seen a number of ethical concerns raised.

- The social media industries need to be examined across levels of activity. The individual level should be looked at in conjunction with the nation-state and global levels to truly assess impact. Social media functions across these levels, yet most research tends to focus on only a single level. Multi-level research is challenging, and can be expensive. But to understand the social media industries as a global force, researchers will have to move in this direction.
- Finally, we need more theoretical development in researching social media. It has become trite to offer this suggestion, but it is true in this case. We do not have developed theories specific to the social media industries. Theoretical development will help us better understand how social media fits in within the broader spectrum of communication, and delineate how it will contribute to the larger body of knowledge.

The social media industries are functioning at a very early age in their life cycle. As such, this volume can hopefully contribute to a baseline of research about the social media industries. Clearly, there is a lot of work still to be done and more research and investigation are needed as the social media industries move through the industry life cycle.

Speaking on behalf of the contributors, we hope this volume will help spur your own ideas and thoughts on the social media industries, and serve as a heuristic tool to inspire your own research efforts. Thank you for the opportunity to share some of our research on this fascinating emerging set of industries with you.